SageSure
PO Box 12999
Tallahassee, FL 32317-3206

AUBREY MAHLOW
724 APEX RISE
ERIE, CO 80516

PO BOX 12999
TALLAHASSEE, FL 32317

June 4, 2025

AUBREY MAHLOW
724 APEX RISE
ERIE, CO 80516

Reference: **Your Dwelling Insurance Policy with SureChoice Underwriters Reciprocal Exchange**
Named Insured: **AUBREY MAHLOW**
Policy Number: **TXFK91378600**

Dear AUBREY MAHLOW:

Thank you for selecting SageSure and SureChoice Underwriters Reciprocal Exchange for your Dwelling insurance needs! SageSure is pleased to serve as the servicing agent for SureChoice Underwriters Reciprocal Exchange, the highly rated insurance company providing your Homeowners coverage. Your policy will be serviced by SageSure's in-house team of dedicated professionals who have a passion for providing first-class customer service.

Enclosed is a copy of your policy Declaration Page , Coverage Form and Endorsements. Please be sure to keep your policy information in a safe place so it is readily available should you need to reference it.

Please remember that your policy was issued on a conditional basis, **meaning some additional steps are necessary in order to keep the policy and any discounts or credits active.** Here's what happens next:
IMPORTANT: Policy contract is not complete until receipt of Subscriber's Agreement and Limited Power of Attorney Form.

Next steps for you: please return the following items to your insurance representative within thirty (30) business days of the policy effective date.

[X] Your initialed and signed application
[X] Your Signed Subscriber Agreement and Limited Power of Attorney Form
[ ] Your current Flood Policy declaration page or a flood zone determination certificate.
[ ] Your Protective Device Certificate of Installation which clearly states type of security monitored in home.
[ ] Other:_____
[ ] No action is required.

Next steps for us: Your home will receive the following type of inspection within 30 days of the policy effective date.
[X] An exterior inspection (an appointment is not necessary)
[ ] An interior inspection (you will be contacted to schedule a convenient time for you)

Inspections are important in order for us to confirm the condition of the property and the replacement cost. Depending on the results of the inspection, it is possible that some adjustments to your policy may be necessary. **Please see the enclosed guide to understanding replacement cost.** Should the inspector find any concerns, your insurance representative will receive a copy of the inspection report along with recommended steps to address the items.

MAKING A PAYMENT IS EASY WITH MYSAGESURE!

Register for an account at **www.MySageSure.com** to easily access your policy online anytime, anywhere! Review coverage, make a secure payment, view billing history, update your mortgagee information and more. You (or the designee responsible for payment, if applicable) will receive an invoice for any premium that is due. Please submit payment by the due date to avoid cancellation.

While you're there, be sure to sign up for EasyPay, our no-fee automatic recurring payment option, to have your payments automatically drafted from your bank account when they are due.

CLAIMS

To file or track a claim, please contact SureChoice Underwriters Reciprocal Exchange 's 24/7 Claims Department directly at or visit **www.MySageSure.com** for information about filing a claim online.

QUESTIONS ABOUT YOUR POLICY

Your insurance representative listed on the enclosed Policy Declarations page is your best resource if you have questions about your policy or if you would like to make any changes. You may also contact us at (800) 481-0661.

We appreciate your business and we look forward to serving you!

Sincerely,

SageSure Customer Care

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Policy Declarations

Policy Number:
TXFK91378600

Named Insured:
AUBREY MAHLOW
JOSEPH MAHLOW
724 APEX RISE
ERIE, CO 80516

Additional Insured:
None

Statement Date:
June 4, 2025

Producer:
W30705N
CASH AND FORBES INSURANCE
13501 KATY FWY STE 1875
HOUSTON, TX 77079
cs@cfigtx.com

Agent of Record:
SAGESURE INSURANCE MANAGERS
PO BOX 12999
TALLAHASSEE, FL 32317

Policy Form:
Dwelling (DP3)

NEED SUPPORT?

For questions about your coverage:
Call your Insurance Representative:
(281) 712-7072

To manage your claim:
Visit www.MySageSure.com or call
(800) 481-0622

To access your policy details and make a payment:
Visit www.MySageSure.com

Billing questions?
Email CustomerCare@SageSure.com
or
Visit www.MySageSure.com

Policy Period:
June 03, 2025 to June 03, 2026 *

* 12:01am local time at location of the residence premises

Residence Premises:
17914
OAK PARK BEND LN
CYPRESS, TX 77433

Transaction Type: New Business

Trans Effective Date: June 03, 2025

Trans Amount: $3,510

Your Insurer:
SureChoice Underwriters Reciprocal Exchange (SURE)
Three Chasewood, Suite 160, 20445 State Highway 249
Houston, TX 77070

Coverage is Provided Where Limits of Liability or Premium is Shown

Property Coverage	Limit	Premium	Liability Coverage	Limit	Premium
A. Dwelling.....	$451,000	$2,753	L. Personal Liability Each Occurrence	$500,000	$66
B. Other Structures.....	$9,020	Included			
C. Personal Property.....	$22,550	Included	M. Medical Payments to Others Each Person	$5,000	Included
D. Fair Rental Value & E. Additional Living Expense.....	$45,100	Included			

Breakdown of Premium:

Adjustments	Limit
Water Backup Coverage	$25,000
Water Damage – Constant Or Repeated Seepage Coverage - Texas	Policy Limits
Loss Assessment Property Coverage	$1,000
Limited Foundation Coverage - Texas	$25,000
Equipment Breakdown Enhancement	$100,000
Limited “Fungi” or Microbes Coverage	$5,000

Policy Number:
TXFK91378600

Breakdown of Premium Continued:

Discounts, Credits and Surcharges:

	Premium
Total of All Policy Adjustments	$ 400
Fees and Taxes	
Surplus Contribution*	$241
Policy Fee**	$50
Grand Total	$3,510

*The Surplus Contribution is not a part of your Total Policy Premium.

**The policy fee is a flat expense charge to cover the costs of administering your policy and is nonrefundable if coverage is cancelled after the policy effective date.

Deductibles (Section I Only)
In case of loss under the Property Section, we cover only that part of the loss over the deductible stated.

THIS POLICY CONTAINS A SEPARATE WIND/HAIL DEDUCTIBLE FOR LOSS CAUSED DURING A STORM WHICH MAY RESULT IN HIGH OUT-OF-POCKET EXPENSES TO YOU.

All Other Perils (1% of Coverage A)	$4,510
Windstorm or Hail (3% of Coverage A)	$13,530
Equipment Breakdown	$500
Loss Assessment Property Damage	$500

Mortgagees & Other Interests:

Mortgagee:
TEXAS DOW EMPLOYEE CREDIT
UNION ISAOA
PO BOX 691030
SAN ANTONIO, TX 78269
LOAN #: 201904836

Basic Rating Information:

Territory	County	Construction Year	Construction Type	Roof Surfacing Material	Roof Age
12	HARRIS	2003	Masonry Veneer	Architectural Shingles	1 Years

Public Protection Class	Rating Tiers Cat/Non-Cat	Structure Type	Opening Protection	Fire Protection Device	Theft Protective Device
3	4	Single Family (free standing)	Unknown	None	None

Occupancy	No. Of Stories
Tenant Occupied	1

Policy Declarations

Policy Number:
TXFK91378600

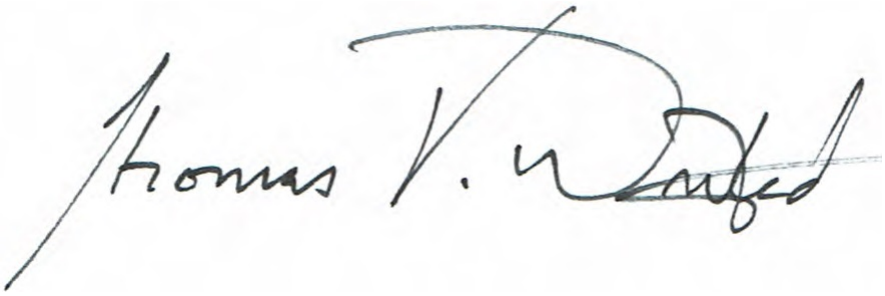
Premium Summary:

Hurricane Premium	$1,890
Non-Hurricane Premium	$1,329

Policy Forms and Endorsements

DP 00 03 07 14 - Dwelling Property Special Form
DC2821301 06 23 - Special Provisions - Texas
DC2821302 05 16 - Special Provisions - Texas
TXRECIP 01 21 Special Provisions and Definitions - Texas
DP 05 50 12 03 - Exclusion of Residential Community Property Clause - Texas
DC28DEDPN 01 17 - Important Deductible Information Advisory Notice
PC328 CD-1 REV. 07/10 - Use of Credit Information Disclosure
DC48EXPN 02 21 - Exclusions - Advisory Notice To Policyholders
28 TAC Section 5.9971(b) 04 24 - Consumer Bill of Rights - Homeowners, Dwelling, and Renters Insurance
DC2851701 12 16 - Limited Fungi or Microbes Coverage - Texas
DC4853401 01 21 - Screened Or Tent Like Structure Exclusion And Limited Coverage Endorsement
DP 05 37 01 15 - Cap on Losses from Certified Acts of Terrorism
DP 12 01 12 03 - Sworn Statement in Proof of Loss - Texas
DP 03 12 07 14 - Windstorm or Hail Percentage Deductible
DC2853601 05 16 - Limited Foundation Coverage - Texas
DP 04 45 11 15 - Limited Water Back-Up and Sump Discharge or Overflow Coverage - Texas
EB DP0714 09 18 - Equipment Breakdown Enhancement Endorsement
DC2853701 12 16 - Water Damage - Constant or Repeated Seepage Coverage - Texas
DL 24 01 07 14 - Personal Liability
DL 24 03 07 14 - Personal Liability Schedule
DC4650201 10 20 - Coverage D – Fair Rental Value And Coverage E – Additional Living Expense - Limit Of Liability
DL 24 11 07 14 - Premises Liability
DL 24 87 01 15 - Cap on Losses from Certified Acts of Terrorism
DC0721301 03 12 - Act of Tenant or Guest of Tenant Exclusion
DP 04 63 07 14 - Loss Assessment Property Coverage
DCTXCMLN 06 23 - Cosmetic Marring Exclusion/Limitation - Texas – Advisory Notice To Policyholders
DCTX213F01 06 23 - Cosmetic Marring Exclusion/Limitation – Hail - Texas

Countersignature:



Countersigned by Authorized Representative:	Tom Wixted	**Date: June 4, 2025**

This replaces all previously issued policy declarations, if any and is subject to all forms and endorsements attached to this policy.

Understanding Replacement Cost

YOUR MOST IMPORTANT INVESTMENT DESERVES THE RIGHT PROTECTION

Home value can be measured in different ways. Many people think their home's market value and replacement cost are the same, but they're actually quite different. Here's how:

1. The market value of your home is typically defined as what it might sell for today.
2. Replacement cost is what it would actually cost to completely reconstruct your home using today's materials and labor.

We hope you never suffer a severe loss, but if you do, having adequate coverage for your home's replacement cost can make all the difference. Inspections, appraisals and annual coverage reviews help you and your insurance representative select the appropriate coverage for your home's replacement cost.

We appreciate the trust you've placed in us to help protect your most important investment. We want you to have peace of mind in return.

If you have any questions about replacement cost, or if you think any changes to your policy should be made, please contact your insurance representative.

WHAT YOU CAN DO

Know Why Inspections are Important
SageSure inspects every home we insure to confirm the replacement cost. If the inspector determines that your home's replacement cost is more than what it is insured for, understand why it's important to increase your coverage.

Take an Active Role in Protecting Your Home
Keep an updated home inventory in list or video form. Obtain an updated replacement cost estimate from a trusted builder or appraiser. Review these items annually with your insurance representative so any necessary adjustments can be made.

Communicate with Your Agent
Be sure your insurance representative has accurate and current information about your home. Update them when you make significant changes, renovations or improvements.

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DWELLING PROPERTY 3 – SPECIAL FORM

AGREEMENT

We will provide the insurance described in this Policy in return for the premium and compliance with all applicable provisions of this Policy.

DEFINITIONS

In this Policy, "you" and "your" refer to the "named insured" shown in the Declarations and the spouse if a resident of the same household. "We", "us" and "our" refer to the company providing this insurance.

COVERAGES

This insurance applies to the Described Location, Coverages for which a limit of liability is shown and Perils Insured Against for which a premium is stated.

A. Coverage A – Dwelling

1. We cover:
   - **a.** The dwelling on the Described Location shown in the Declarations, used principally for dwelling purposes, including structures attached to the dwelling;
   - **b.** Materials and supplies located on or next to the Described Location used to construct, alter or repair the dwelling or other structures on the Described Location; and
   - **c.** If not otherwise covered in this Policy, building equipment and outdoor equipment used for the service of and located on the Described Location.
2. We do not cover land, including land on which the dwelling is located.

B. Coverage B – Other Structures

1. We cover other structures on the Described Location, set apart from the dwelling by clear space. This includes structures connected to the dwelling by only a fence, utility line or similar connection.
2. We do not cover:
   - **a.** Land, including land on which the other structures are located;
   - **b.** Other structures rented or held for rental to any person not a tenant of the dwelling, unless used solely as a private garage;
   - **c.** Other structures used in whole or in part for commercial, manufacturing or farming purposes. However, we do cover a structure that contains commercial, manufacturing or farming property solely owned by you or a tenant of the dwelling, provided that such property does not include gaseous or liquid fuel, other than fuel in a permanently installed fuel tank of a vehicle or craft parked or stored in the structure; or
   - **d.** Gravemarkers, including mausoleums.

C. Coverage C – Personal Property

1. **Covered Property**

   We cover personal property, usual to the occupancy as a dwelling and owned or used by you or members of your family residing with you while it is on the Described Location. After a loss and at your request, we will cover personal property owned by a guest or servant while the property is on the Described Location.

2. **Property Not Covered**

   We do not cover:
   - **a.** Accounts, bank notes, bills, bullion, coins, currency, deeds, evidences of debt, gold other than goldware, letters of credit, manuscripts, medals, money, notes other than bank notes, passports, personal records, platinum other than platinumware, securities, silver other than silverware, tickets, stamps, scrip, stored value cards and smart cards;
   - **b.** Animals, birds or fish;
   - **c.** Aircraft, meaning any contrivance used or designed for flight, including any parts whether or not attached to the aircraft.

     We do cover model or hobby aircraft not used or designed to carry people or cargo;
   - **d.** Hovercraft and parts. Hovercraft means a self-propelled motorized ground effect vehicle and includes, but is not limited to, flarecraft and air cushion vehicles;
   - **e.** Motor vehicles or all other motorized land conveyances.

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This includes their equipment and parts while such property is in or upon the vehicle or conveyance.

However, this Paragraph **2.e.** does not apply to:

(1) Portable electronic equipment that:

(a) Reproduces, receives or transmits audio, visual or data signals; and

(b) Is designed so that it may be operated from a power source other than the electrical system of motor vehicles and all other motorized land conveyances.

(2) Motor vehicles or other motorized land conveyances not required to be registered for use on public roads or property which are:

(a) Used solely to service a residence; or

(b) Designed to assist the handicapped;

f. Watercraft of all types, other than rowboats and canoes;

g. Data, including data stored in:

(1) Books of account, drawings or other paper records; or

(2) Computers and related equipment.

We do cover the cost of blank recording or storage media and of prerecorded computer programs available on the retail market;

h. Credit cards, electronic fund transfer cards or access devices used solely for deposit, withdrawal or transfer of funds;

i. Water or steam; or

j. Gravemarkers, including mausoleums.

3. Property Removed To A Newly Acquired Principal Residence

If you remove personal property from the Described Location to a newly acquired principal residence, the Coverage **C** limit of liability will apply at each residence for the 30 days immediately after you begin to move the property there. This time period will not extend beyond the termination of this Policy. Our liability is limited to the proportion of the limit of liability that the value at each residence bears to the total value of all personal property covered by this Policy.

D. Coverage D – Fair Rental Value

1. If a loss to property described in Coverage **A, B** or **C** by a Peril Insured Against under this Policy makes that part of the Described Location rented to others or held for rental by you unfit for its normal use, we cover the fair rental value of that part of the Described Location rented to others or held for rental by you less any expenses that do not continue while that part of the Described Location rented or held for rental is not fit to live in.

Payment will be for the shortest time required to repair or replace that part of the Described Location rented or held for rental.

2. If a civil authority prohibits you from use of the Described Location as a result of direct damage to a neighboring location by a Peril Insured Against in this Policy, we cover the Fair Rental Value loss for no more than two weeks.

3. The periods of time referenced above are not limited by the expiration of this Policy.

4. We do not cover loss or expense due to cancellation of a lease or agreement.

E. Coverage E – Additional Living Expense

1. If a loss to property described in Coverage **A, B** or **C** by a Peril Insured Against under this Policy makes the Described Location unfit for its normal use, we cover any necessary increase in living expenses incurred by you so that your household can maintain its normal standard of living.

Payment will be for the shortest time required to repair or replace the Described Location or, if you permanently relocate, the shortest time required for your household to settle elsewhere.

2. If a civil authority prohibits you from use of the Described Location as a result of direct damage to a neighboring location by a Peril Insured Against in this Policy, we cover the Additional Living Expense loss for no more than two weeks.

3. The periods of time referenced above are not limited by the expiration of this Policy.

4. We do not cover loss or expense due to cancellation of a lease or agreement.

F. Other Coverages

1. Other Structures

You may use up to 10% of the Coverage **A** limit of liability for loss by a Peril Insured Against to other structures described in Coverage **B.**

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This coverage is additional insurance.

2. **Debris Removal**

   We will pay your reasonable expense for the removal of:

   a. Debris of covered property if a Peril Insured Against causes the loss; or

   b. Ash, dust or particles from a volcanic eruption that has caused direct loss to a building or property contained in a building.

   This expense is included in the limit of liability that applies to the damaged property.

3. **Improvements, Alterations And Additions**

   If you are a tenant of the Described Location, you may use up to 10% of the Coverage **C** limit of liability for loss by a Peril Insured Against to improvements, alterations and additions, made or acquired at your expense, to that part of the Described Location used only by you.

   This coverage is additional insurance.

4. **World-wide Coverage**

   You may use up to 10% of the Coverage **C** limit of liability for loss by a Peril Insured Against to property covered under Coverage **C,** except rowboats and canoes, while anywhere in the world.

   Use of this coverage reduces the Coverage **C** limit of liability for the same loss.

5. **Rental Value And Additional Living Expense**

   You may use up to 20% of the Coverage **A** limit of liability for loss of both fair rental value as described in Coverage **D** and additional living expense as described in Coverage **E.**

   This coverage is additional insurance.

6. **Reasonable Repairs**

   a. In the event that covered property is damaged by a Peril Insured Against, we will pay the reasonable cost incurred by you for necessary measures taken solely to protect against further damage.

   b. If the measures taken involve repair to other damaged property, we will pay for those measures only if that property is covered under this Policy and the damage to that property is caused by a Peril Insured Against. This coverage does not:

   (1) Increase the limit of liability that applies to the covered property; or

   (2) Relieve you of your duties, in case of a loss to covered property, as set forth in Condition **D.2.**

7. **Property Removed**

   We insure covered property against direct loss from any cause while being removed from a premises endangered by a Peril Insured Against and for no more than 30 days while removed.

   This coverage does not change the limit of liability that applies to the property being removed.

8. **Trees, Shrubs And Other Plants**

   We cover trees, shrubs, plants or lawns on the Described Location for loss caused by the following Perils Insured Against:

   a. Fire Or Lightning;

   b. Explosion;

   c. Riot Or Civil Commotion;

   d. Aircraft;

   e. Vehicles not owned or operated by you or a resident of the Described Location; or

   f. Vandalism Or Malicious Mischief, including damage during a burglary or attempted burglary, but not theft of property.

   The limit of liability for this coverage will not be more than 5% of the Coverage **A** limit of liability, or more than $500 for any one tree, shrub or plant. We do not cover property grown for commercial purposes.

   This coverage is additional insurance.

9. **Fire Department Service Charge**

   We will pay up to $500 for your liability assumed by contract or agreement for fire department charges incurred when the fire department is called to save or protect covered property from a Peril Insured Against. We do not cover fire department service charges if the property is located within the limits of the city, municipality or protection district furnishing the fire department response.

   This coverage is additional insurance. No deductible applies to this coverage.

10. **Collapse**

    a. The coverage provided under this Other Coverage – Collapse applies only to an abrupt collapse.

    b. For the purpose of this Other Coverage – Collapse, abrupt collapse means an abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be occupied for its intended purpose.

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c. This Other Coverage – Collapse does not apply to:

(1) A building or any part of a building that is in danger of falling down or caving in;

(2) A part of a building that is standing, even if it has separated from another part of the building; or

(3) A building or any part of a building that is standing, even if it shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

d. We insure for direct physical loss to covered property involving abrupt collapse of a building or any part of a building if such collapse was caused by one or more of the following:

(1) The Perils Insured Against named under Coverage **C;**

(2) Decay, of a building or any part of a building, that is hidden from view, unless the presence of such decay is known to you prior to collapse;

(3) Insect or vermin damage, to a building or any part of a building, that is hidden from view, unless the presence of such damage is known to you prior to collapse;

(4) Weight of contents, equipment, animals or people;

(5) Weight of rain which collects on a roof; or

(6) Use of defective material or methods in construction, remodeling or renovation if the collapse occurs during the course of the construction, remodeling or renovation.

e. Loss to an awning, fence, patio, deck, pavement, swimming pool, underground pipe, flue, drain, cesspool, septic tank, foundation, retaining wall, bulkhead, pier, wharf or dock is not included under **d.(2)** through **(6)** above, unless the loss is a direct result of the collapse of a building or any part of a building.

f. This coverage does not increase the limit of liability that applies to the damaged covered property.

11. Glass Or Safety Glazing Material

a. We cover:

(1) The breakage of glass or safety glazing material which is part of a covered building, storm door or storm window;

(2) The breakage of glass or safety glazing material which is part of a covered building, storm door or storm window when caused directly by earth movement; and

(3) The direct physical loss to covered property caused solely by the pieces, fragments or splinters of broken glass or safety glazing material which is part of a building, storm door or storm window.

b. This coverage does not include loss:

(1) To covered property which results because the glass or safety glazing material has been broken, except as provided in **a.(3)** above; or

(2) On the Described Location if the dwelling has been vacant for more than 60 consecutive days immediately before the loss, except when the breakage results directly from earth movement as provided for in **a.(2)** above. A dwelling being constructed is not considered vacant.

c. This coverage does not increase the limit of liability that applies to the damaged property.

12. Ordinance Or Law

a. The Ordinance Or Law limit of liability determined in **b.** or **c.** below will apply with respect to the increased costs you incur due to the enforcement of any ordinance or law which requires or regulates:

(1) The construction, demolition, remodeling, renovation or repair of that part of a covered building or other structure damaged by a Peril Insured Against;

(2) The demolition and reconstruction of the undamaged part of a covered building or other structure, when that building or other structure must be totally demolished because of damage by a Peril Insured Against to another part of that covered building or other structure; or

(3) The remodeling, removal or replacement of the portion of the undamaged part of a covered building or other structure necessary to complete the remodeling, repair or replacement of that part of the covered building or other structure damaged by a Peril Insured Against.

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b. If you are an owner of a Described Location and that location:

(1) Is insured for Coverage **A** or Unit-owners Building Items, you may use up to 10% of the limit of liability that applies to Coverage **A** or Unit-owners Building Items at each Described Location; or

(2) Is not insured for Coverage **A** or Unit-owners Building Items, you may use up to 10% of the total limit of liability that applies to Coverage **B** at each Described Location.

c. If you are a tenant of a Described Location, you may use up to 10% of the limit of liability that applies to Improvements, Alterations And Additions at each Described Location. Also, the words "covered building" used throughout this Other Coverage **12.** Ordinance Or Law refer to property at such a Described Location covered under Other Coverage **3.** Improvements, Alterations And Additions.

d. You may use all or part of this ordinance or law coverage to pay for the increased costs you incur to remove debris resulting from the construction, demolition, remodeling, renovation, repair or replacement of property as stated in **a.** above.

e. We do not cover:

(1) The loss in value to any covered building or other structure due to the requirements of any ordinance or law; or

(2) The costs to comply with any ordinance or law which requires you or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, pollutants in or on any covered building or other structure.

Pollutants means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

This coverage is additional insurance.

PERILS INSURED AGAINST

A. Coverage A – Dwelling And Coverage B – Other Structures

1. We insure against direct physical loss to property described in Coverages **A** and **B.**

2. We do not insure, however, for loss:

a. Excluded under General Exclusions;

b. Involving collapse, including any of the following conditions of property or any part of the property:

(1) An abrupt falling down or caving in;

(2) Loss of structural integrity, including separation of parts of the property or property in danger of falling down or caving in; or

(3) Any cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion as such condition relates to **(1)** or **(2)** above;

except as provided in Other Coverage **10.** Collapse; or

c. Caused by:

(1) Freezing of a plumbing, heating, air conditioning or automatic fire protective sprinkler system or of a household appliance, or by discharge, leakage or overflow from within the system or appliance caused by freezing. This provision does not apply if you have used reasonable care to:

(a) Maintain heat in the building; or

(b) Shut off the water supply and drain all systems and appliances of water.

However, if the building is protected by an automatic fire protective sprinkler system, you must use reasonable care to continue the water supply and maintain heat in the building for coverage to apply.

For purposes of this provision, a plumbing system or household appliance does not include a sump, sump pump or related equipment or a roof drain, gutter, downspout or similar fixtures or equipment.

(2) Freezing, thawing, pressure or weight of water or ice, whether driven by wind or not, to a:

(a) Fence, pavement, patio or swimming pool;

(b) Footing, foundation, bulkhead, wall, or any other structure or device that supports all or part of a building or other structure;

(c) Retaining wall or bulkhead that does not support all or part of a building or other structure; or

(d) Pier, wharf or dock;

(3) Theft of property not part of a covered building or structure;

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(4) Theft in or to a dwelling or structure under construction;

(5) Wind, hail, ice, snow or sleet to:

(a) Outdoor radio and television antennas and aerials, including their lead-in wiring, masts or towers; or

(b) Trees, shrubs, plants or lawns;

(6) Vandalism and malicious mischief, theft or attempted theft, and any ensuing loss caused by any intentional and wrongful act committed in the course of the vandalism or malicious mischief, theft or attempted theft, if the dwelling has been vacant for more than 60 consecutive days immediately before the loss. A dwelling being constructed is not considered vacant;

(7) Constant or repeated seepage or leakage of water or steam over a period of weeks, months or years from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or from within a household appliance.

For purposes of this provision, a plumbing system or household appliance does not include a sump, sump pump or related equipment or a roof drain, gutter, downspout or similar fixtures or equipment;

(8) Any of the following:

(a) Wear and tear, marring, deterioration;

(b) Mechanical breakdown, latent defect, inherent vice or any quality in property that causes it to damage or destroy itself;

(c) Smog, rust or other corrosion, mold, wet or dry rot;

(d) Smoke from agricultural smudging or industrial operations;

(e) Discharge, dispersal, seepage, migration release or escape of pollutants unless the discharge, dispersal, seepage, migration, release or escape is itself caused by a Peril Insured Against named under Coverage **C.**

Pollutants means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed;

(f) Settling, shrinking, bulging or expansion, including resultant cracking, of bulkheads, pavements, patios, footings, foundations, walls, floors, roofs or ceilings; or

(g) Birds, rodents, insects or domestic animals; or

(h) Nesting or infestation, or discharge or release of waste products or secretions, by any animals.

Exception To c.(8)

Unless the loss is otherwise excluded, we cover loss to property covered under Coverage **A** or **B** resulting from an accidental discharge or overflow of water or steam from within a:

(i) Storm drain, or water, steam or sewer pipe, off the Described Location; or

(ii) Plumbing, heating, air conditioning or automatic fire protective sprinkler system or household appliance on the Described Location. This includes the cost to tear out and replace any part of a building, or other structure, on the Described Location, but only when necessary to repair the system or appliance. However, such tear out and replacement coverage only applies to other structures if the water or steam causes actual damage to a building on the Described Location.

We do not cover loss to the system or appliance from which this water or steam escaped.

For the purposes of this provision, a plumbing system or household appliance does not include a sump, sump pump or related equipment or roof drain, gutter, downspout or similar fixtures or equipment.

General Exclusion **A.3.** Water, Paragraphs **a.** and **c.** that apply to surface water and water below the surface of ground do not apply to loss by water covered under **c.(8)** above.

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Under **2.b.** and **c.** above, any ensuing loss to property described in Coverages **A** and **B** not excluded or excepted in this Policy is covered.

B. Coverage C – Personal Property

We insure for direct physical loss to the property described in Coverage **C** caused by a peril listed below unless the loss is excluded in the General Exclusions.

1. Fire Or Lightning

2. Windstorm Or Hail

This peril does not include loss to:

a. Property contained in a building caused by rain, snow, sleet, sand or dust unless the direct force of wind or hail damages the building causing an opening in a roof or wall and the rain, snow, sleet, sand or dust enters through this opening;

b. The following property when outside of the building:

(1) Canoes and rowboats; or

(2) Trees, shrubs, plants or lawns.

3. Explosion

4. Riot Or Civil Commotion

5. Aircraft

This peril includes self-propelled missiles and spacecraft.

6. Vehicles

7. Smoke

This peril means sudden and accidental damage from smoke, including the emission or puffback of smoke, soot, fumes or vapors from a boiler, furnace or related equipment.

This peril does not include loss caused by smoke from agricultural smudging or industrial operations.

8. Vandalism Or Malicious Mischief

This peril does not include loss by pilferage, theft, burglary or larceny.

9. Damage By Burglars

a. This peril means damage to covered property caused by burglars.

b. This peril does not include:

(1) Theft of property; or

(2) Damage caused by burglars to property on the Described Location if the dwelling has been vacant for more than 60 consecutive days immediately before the damage occurs. A dwelling being constructed is not considered vacant.

10. Falling Objects

This peril does not include loss to property contained in the building unless the roof or an outside wall of the building is first damaged by a falling object. Damage to the falling object itself is not covered.

11. Weight Of Ice, Snow Or Sleet

This peril means weight of ice, snow or sleet which causes damage to property contained in the building.

12. Accidental Discharge Or Overflow Of Water Or Steam

a. This peril means accidental discharge or overflow of water or steam from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or from within a household appliance.

b. This peril does not include loss:

(1) To the system or appliance from which the water or steam escaped;

(2) Caused by or resulting from freezing except as provided in Peril Insured Against **14.** Freezing; or

(3) On the Described Location caused by accidental discharge or overflow which occurs off the Described Location.

c. In this peril, a plumbing system or household appliance does not include a sump, sump pump or related equipment; or a roof drain, gutter, downspout or similar fixtures or equipment.

d. General Exclusion **A.3.** Water, Paragraphs **a.** and **c.** that apply to surface water and water below the surface of the ground do not apply to loss by water covered under this peril.

13. Sudden And Accidental Tearing Apart, Cracking, Burning Or Bulging

This peril means sudden and accidental tearing apart, cracking, burning or bulging of a steam or hot water heating system, an air conditioning or automatic fire protective sprinkler system, or an appliance for heating water.

We do not cover loss caused by or resulting from freezing except as provided in the peril of freezing below.

14. Freezing

a. This peril means freezing of a plumbing, heating, air conditioning or automatic fire protective sprinkler system or of a household appliance, but only if you have used reasonable care to:

(1) Maintain heat in the building; or

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(2) Shut off the water supply and drain all systems and appliances of water.

However, if the building is protected by an automatic fire protective sprinkler system, you must use reasonable care to continue the water supply and maintain heat in the building for coverage to apply.

b. In this peril, a plumbing system or household appliance does not include a sump, sump pump or related equipment; or a roof drain, gutter, downspout or similar fixtures or equipment.

15. Sudden And Accidental Damage From Artificially Generated Electrical Current

This peril does not include loss to tubes, transistors, electronic components or circuitry that is a part of appliances, fixtures, computers, home entertainment units or other types of electronic apparatus.

16. Volcanic Eruption

This peril does not include loss caused by earthquake, land shock waves or tremors.

GENERAL EXCLUSIONS

A. We do not insure for loss caused directly or indirectly by any of the following. Such loss is excluded regardless of any other cause or event contributing concurrently or in any sequence to the loss. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.

1. Ordinance Or Law

Ordinance Or Law means any ordinance or law:

a. Requiring or regulating the construction, demolition, remodeling, renovation or repair of property, including removal of any resulting debris. This Exclusion **A.1.a.** does not apply to the amount of coverage that may be provided under Other Coverage **12.** Ordinance Or Law;

b. The requirements of which result in a loss in value to property; or

c. Requiring you or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, pollutants.

Pollutants means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

This Exclusion **A.1.** applies whether or not the property has been physically damaged.

2. Earth Movement

Earth Movement means:

a. Earthquake, including land shock waves or tremors before, during or after a volcanic eruption;

b. Landslide, mudslide or mudflow;

c. Subsidence or sinkhole; or

d. Any other earth movement including earth sinking, rising or shifting.

This Exclusion **A.2.** applies regardless of whether any of the above, in **A.2.a.** through **A.2.d.,** is caused by an act of nature or is otherwise caused.

However, direct loss by fire or explosion resulting from any of the above, in **A.2.a.** through **A.2.d.,** is covered.

3. Water

This means:

a. Flood, surface water, waves, including tidal wave and tsunami, tides, tidal water, overflow of any body of water or spray from any of these, all whether or not driven by wind, including storm surge;

b. Water which:

(1) Backs up through sewers or drains; or

(2) Overflows or is otherwise discharged from a sump, sump pump or related equipment;

c. Water below the surface of the ground, including water which exerts pressure on, or seeps, leaks or flows through a building, sidewalk, driveway, patio, foundation, swimming pool or other structure; or

d. Waterborne material carried or otherwise moved by any of the water referred to in **A.3.a.** through **A.3.c.** of this exclusion.

This Exclusion **A.3.** applies regardless of whether any of the above, in **A.3.a.** through **A.3.d.,** is caused by an act of nature or is otherwise caused.

This Exclusion **A.3.** applies to, but is not limited to, escape, overflow or discharge, for any reason, of water or waterborne material from a dam, levee, seawall or any other boundary or containment system.

However, direct loss by fire or explosion resulting from any of the above, in **A.3.a.** through **A.3.d.,** is covered.

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4. **Power Failure**

   Power Failure means the failure of power or other utility service if the failure takes place off the Described Location. But if the failure of power or other utility service results in a loss, from a Peril Insured Against on the Described Location, we will pay for the loss caused by that Peril Insured Against.

5. **Neglect**

   Neglect means your neglect to use all reasonable means to save and preserve property at and after the time of a loss.

6. **War**

   War includes the following and any consequence of any of the following:

   a. Undeclared war, civil war, insurrection, rebellion or revolution;

   b. Warlike act by a military force or military personnel;

   c. Destruction or seizure or use for a military purpose.

   Discharge of a nuclear weapon will be deemed a warlike act even if accidental.

7. **Nuclear Hazard**

   This Exclusion **A.7.** pertains to Nuclear Hazard to the extent set forth in the Nuclear Hazard Clause of the Conditions.

8. **Intentional Loss**

   Intentional Loss means any loss arising out of any act you or any person or organization named as an additional insured commits or conspires to commit with the intent to cause a loss.

   In the event of such loss, neither you nor any such person or organization is entitled to coverage, even those who did not commit or conspire to commit the act causing the loss.

9. **Governmental Action**

   Governmental Action means the destruction, confiscation or seizure of property described in Coverage **A, B** or **C** by order of any governmental or public authority.

   This exclusion does not apply to such acts ordered by any governmental or public authority that are taken at the time of a fire to prevent its spread, if the loss caused by fire would be covered under this Policy.

B. We do not insure for loss to property described in Coverages **A** and **B** caused by any of the following. However, any ensuing loss to property described in Coverages **A** and **B** not precluded by any other provision in this Policy is covered.

1. Weather conditions. However, this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in **A.** above to produce the loss.
2. Acts or decisions, including the failure to act or decide, of any person, group, organization or governmental body.
3. Faulty, inadequate or defective:

   a. Planning, zoning, development, surveying, siting;

   b. Design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;

   c. Materials used in repair, construction, renovation or remodeling; or

   d. Maintenance;

   of part or all of any property whether on or off the Described Location.

CONDITIONS

A. Insurable Interest And Limit Of Liability

Even if more than one person has an insurable interest in the property covered, we will not be liable in any one loss:

1. For an amount greater than the interest of a person insured under this Policy at the time of loss; or
2. For more than the applicable limit of liability.

B. Deductible

Unless otherwise noted in this Policy, the following deductible provision applies:

With respect to any one loss:

1. Subject to the applicable limit of liability, we will pay only that part of the total of all loss payable that exceeds the deductible amount shown in the Declarations.
2. If two or more deductibles under this Policy apply to the loss, only the highest deductible amount will apply.

C. Concealment Or Fraud

We provide coverage to no persons insured under this Policy if, whether before or after a loss, one or more persons insured under this Policy have:

1. Intentionally concealed or misrepresented any material fact or circumstance;
2. Engaged in fraudulent conduct; or
3. Made false statements;

relating to this insurance.

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D. Duties After Loss

In case of a loss to covered property, we have no duty to provide coverage under this Policy if the failure to comply with the following duties is prejudicial to us. These duties must be performed either by you or your representative:

1. Give prompt notice to us or our agent;

2. Protect the property from further damage. If repairs to the property are required, you must:

a. Make reasonable and necessary repairs to protect the property; and

b. Keep an accurate record of repair expenses;

3. Cooperate with us in the investigation of a claim;

4. Prepare an inventory of damaged personal property showing the quantity, description, actual cash value and amount of loss. Attach all bills, receipts and related documents that justify the figures in the inventory;

5. As often as we reasonably require:

a. Show the damaged property;

b. Provide us with records and documents we request and permit us to make copies; and

c. Submit to examination under oath, while not in the presence of another named insured, and sign the same;

6. Send to us, within 60 days after our request, your signed, sworn proof of loss which sets forth to the best of your knowledge and belief:

a. The time and cause of loss;

b. Your interest and that of all others in the property involved and all liens on the property;

c. Other insurance which may cover the loss;

d. Changes in title or occupancy of the property during the term of the Policy;

e. Specifications of damaged buildings and detailed repair estimates;

f. The inventory of damaged personal property described in **D.4.;** and

g. Receipts for additional living expenses incurred and records that support the fair rental value loss.

E. Loss Settlement

In this Condition **E.,** the terms "cost to repair or replace" and "replacement cost" do not include the increased costs incurred to comply with the enforcement of any ordinance or law except to the extent that coverage for these increased costs is provided in Other Coverages **F.12.** Ordinance Or Law. Covered property losses are settled as follows:

1. Property of the following types:

a. Personal property;

b. Awnings, carpeting, household appliances, outdoor antennas and outdoor equipment, whether or not attached to buildings; and

c. Structures that are not buildings;

at actual cash value at the time of loss but not more than the amount required to repair or replace.

2. Buildings under Coverage **A** or **B** at replacement cost without deduction for depreciation, subject to the following:

a. If, at the time of loss, the amount of insurance in this Policy on the damaged building is 80% or more of the full replacement cost of the building immediately before the loss, we will pay the cost to repair or replace, without deduction for depreciation, but not more than the least of the following amounts:

(1) The limit of liability under this Policy that applies to the building;

(2) The replacement cost of that part of the building damaged with material of like kind and quality and for like use; or

(3) The necessary amount actually spent to repair or replace the damaged building.

If the building is rebuilt at a new premises, the cost described in **(2)** above is limited to the cost which would have been incurred if the building had been built at the original premises.

b. If, at the time of loss, the amount of insurance in this Policy on the damaged building is less than 80% of the full replacement cost of the building immediately before the loss, we will pay the greater of the following amounts, but not more than the limit of liability under this Policy that applies to the building:

(1) The actual cash value of that part of the building damaged; or

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(2) That proportion of the cost to repair or replace, without deduction for depreciation, that part of the building damaged, which the total amount of insurance in this Policy on the damaged building bears to 80% of the replacement cost of the building.

c. To determine the amount of insurance required to equal 80% of the full replacement cost of the building immediately before the loss, do not include the value of:

(1) Excavations, footings, foundations, piers or any other structures or devices that support all or part of the building, which are below the undersurface of the lowest basement floor;

(2) Those supports in **(1)** above which are below the surface of the ground inside the foundation walls, if there is no basement; and

(3) Underground flues, pipes, wiring and drains.

d. We will pay no more than the actual cash value of the damage until actual repair or replacement is complete. Once actual repair or replacement is complete, we will settle the loss as noted in **2.a.** and **b.** above.

However, if the cost to repair or replace the damage is both:

(1) Less than 5% of the amount of insurance in this Policy on the building; and

(2) Less than $2,500;

we will settle the loss as noted in **2.a.** and **b.** above whether or not actual repair or replacement is complete.

e. You may disregard the replacement cost loss settlement provisions and make claim under this Policy for loss to buildings on an actual cash value basis. You may then make claim for any additional liability according to the provisions of this Condition **E.** Loss Settlement, provided you notify us, within 180 days after the date of loss, of your intent to repair or replace the damaged building.

F. Loss To A Pair Or Set

In case of loss to a pair or set, we may elect to:

1. Repair or replace any part to restore the pair or set to its value before the loss; or

2. Pay the difference between actual cash value of the property before and after the loss.

G. Appraisal

If you and we fail to agree on the amount of loss, either may demand an appraisal of the loss. In this event, each party will choose a competent and impartial appraiser within 20 days after receiving a written request from the other. The two appraisers will choose an umpire. If they cannot agree upon an umpire within 15 days, you or we may request that the choice be made by a judge of a court of record in the state where the Described Location is located. The appraisers will separately set the amount of loss. If the appraisers submit a written report of an agreement to us, the amount agreed upon will be the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will set the amount of loss.

Each party will:

1. Pay its own appraiser; and

2. Bear the other expenses of the appraisal and umpire equally.

H. Other Insurance And Service Agreement

If property covered by this Policy is also covered by:

1. Other fire insurance, we will pay only the proportion of a loss caused by any peril insured against under this Policy that the limit of liability applying under this Policy bears to the total amount of fire insurance covering the property; or

2. A service agreement, this insurance is excess over any amounts payable under any such agreement. Service agreement means a service plan, property restoration plan, home warranty or other similar service warranty agreement, even if it is characterized as insurance.

I. Subrogation

You may waive in writing before a loss all rights of recovery against any person. If not waived, we may require an assignment of rights of recovery for a loss to the extent that payment is made by us.

If an assignment is sought, the person insured must sign and deliver all related papers and cooperate with us.

J. Suit Against Us

No action can be brought against us unless there has been full compliance with all of the terms under this Policy and the action is started within two years after the date of loss.

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K. Our Option

If we give you written notice within 30 days after we receive your signed, sworn proof of loss, we may repair or replace any part of the damaged property with material or property of like kind and quality.

L. Loss Payment

We will adjust all losses with you. We will pay you unless some other person is named in the Policy or is legally entitled to receive payment. Loss will be payable 60 days after we receive your proof of loss and:

1. Reach an agreement with you;

2. There is an entry of a final judgment; or

3. There is a filing of an appraisal award with us.

M. Abandonment Of Property

We need not accept any property abandoned by you.

N. Mortgage Clause

1. If a mortgagee is named in this Policy, any loss payable under Coverage **A** or **B** will be paid to the mortgagee and you, as interests appear. If more than one mortgagee is named, the order of payment will be the same as the order of precedence of the mortgages.

2. If we deny your claim, that denial will not apply to a valid claim of the mortgagee, if the mortgagee:

a. Notifies us of any change in ownership, occupancy or substantial change in risk of which the mortgagee is aware;

b. Pays any premium due under this Policy on demand if you have neglected to pay the premium; and

c. Submits a signed, sworn statement of loss within 60 days after receiving notice from us of your failure to do so. Policy conditions relating to:

(1) Appraisal;

(2) Suit Against Us; and

(3) Loss Payment;

also apply to the mortgagee.

3. If we decide to cancel or not to renew this Policy, the mortgagee will be notified at least 10 days before the date cancellation or nonrenewal takes effect.

4. If we pay the mortgagee for any loss and deny payment to you:

a. We are subrogated to all the rights of the mortgagee granted under the mortgage on the property; or

b. At our option, we may pay to the mortgagee the whole principal on the mortgage plus any accrued interest. In this event, we will receive a full assignment and transfer of the mortgage and all securities held as collateral to the mortgage debt.

5. Subrogation will not impair the right of the mortgagee to recover the full amount of the mortgagee's claim.

O. No Benefit To Bailee

We will not recognize any assignment or grant any coverage that benefits a person or organization holding, storing or moving property for a fee regardless of any other provision of this Policy.

P. Cancellation

1. You may cancel this Policy at any time by returning it to us or by letting us know in writing of the date cancellation is to take effect.

2. We may cancel this Policy only for the reasons stated below by letting you know in writing of the date cancellation takes effect. This cancellation notice may be delivered to you, or mailed to you at your mailing address shown in the Declarations. Proof of mailing will be sufficient proof of notice.

a. When you have not paid the premium, we may cancel at any time by letting you know at least 10 days before the date cancellation takes effect.

b. When this Policy has been in effect for less than 60 days and is not a renewal with us, we may cancel for any reason by letting you know at least 10 days before the date cancellation takes effect.

c. When this Policy has been in effect for 60 days or more, or at any time if it is a renewal with us, we may cancel:

(1) If there has been a material misrepresentation of fact which if known to us would have caused us not to issue the Policy; or

(2) If the risk has changed substantially since the Policy was issued.

This can be done by letting you know at least 30 days before the date cancellation takes effect.

d. When this Policy is written for a period of more than one year, we may cancel for any reason at anniversary by letting you know at least 30 days before the date cancellation takes effect.

3. When this Policy is canceled, the premium for the period from the date of cancellation to the expiration date will be refunded pro rata.

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4. If the return premium is not refunded with the notice of cancellation or when this Policy is returned to us, we will refund it within a reasonable time after the date cancellation takes effect.

Q. Nonrenewal

We may elect not to renew this Policy. We may do so by delivering to you, or mailing to you at your mailing address shown in the Declarations, written notice at least 30 days before the expiration date of this Policy. Proof of mailing will be sufficient proof of notice.

R. Liberalization Clause

If we make a change which broadens coverage under this edition of our Policy without additional premium charge, that change will automatically apply to your insurance as of the date we implement the change in your state, provided that this implementation date falls within 60 days prior to or during the policy period stated in the Declarations.

This Liberalization Clause does not apply to changes implemented with a general program revision that includes both broadenings and restrictions in coverage, whether that general program revision is implemented through introduction of:

1. A subsequent edition of this Policy; or
2. An amendatory endorsement.

S. Waiver Or Change Of Policy Provisions

A waiver or change of a provision of this Policy must be in writing by us to be valid. Our request for an appraisal or examination will not waive any of our rights.

T. Assignment

Assignment of this Policy will not be valid unless we give our written consent.

U. Death

If you die, we insure:

1. Your legal representatives but only with respect to the property of the deceased covered under the Policy at the time of death;
2. With respect to your property, the person having proper temporary custody of the property until appointment and qualification of a legal representative.

V. Nuclear Hazard Clause

1. "Nuclear hazard" means any nuclear reaction, radiation or radioactive contamination, all whether controlled or uncontrolled or however caused, or any consequence of any of these.
2. Loss caused by the nuclear hazard will not be considered loss caused by fire, explosion or smoke, whether these perils are specifically named in or otherwise included within the Perils Insured Against.
3. This Policy does not apply to loss caused directly or indirectly by nuclear hazard, except that direct loss by fire resulting from the nuclear hazard is covered.

W. Recovered Property

If you or we recover any property for which we have made payment under this Policy, you or we will notify the other of the recovery. At your option, the property will be returned to or retained by you or it will become our property. If the recovered property is returned to or retained by you, the loss payment will be adjusted based on the amount you received for the recovered property.

X. Volcanic Eruption Period

One or more volcanic eruptions that occur within a 72-hour period will be considered as one volcanic eruption.

Y. Loss Payable Clause

If the Declarations shows a loss payee for certain listed insured personal property, that person is considered an insured in this Policy with respect to that property.

If we decide to cancel or not renew this Policy, that loss payee will be notified in writing.

Z. Policy Period

This Policy applies only to loss which occurs during the policy period.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

WINDSTORM OR HAIL PERCENTAGE DEDUCTIBLE

SCHEDULE

Described Location	Windstorm Or Hail Deductible Percentage Amount
	%
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

CONDITIONS

B. Deductible

The following special deductible is added to the Policy:

With respect to the peril of Windstorm Or Hail, for any one loss, we will pay only that part of the total of all loss payable that exceeds the Windstorm or Hail Percentage Deductible.

The dollar amount of the Windstorm or Hail Deductible, for each Described Location stated in the Schedule above, is determined by multiplying the:

1. Coverage **A;**
2. Coverage **B;**
3. Coverage **D;** or
4. Coverage **E;**

Limit Of Liability shown in the Declarations, whichever is greatest, by the percentage shown in the Schedule above.

No other deductible in the Policy applies to loss caused by windstorm or hail.

All other provisions of this Policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

LOSS ASSESSMENT PROPERTY COVERAGE

SCHEDULE

Location Of Unit	Limit Of Liability
	$
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

COVERAGE

We will pay for your share of loss assessment charged during the policy period against you by a corporation or association of property owners up to the Limit Of Liability shown in the Schedule above. The assessment must be made as a result of direct loss to the property, owned by all members collectively, of the type that would be covered by this Policy if owned by you, caused by a Peril Insured Against listed in the Policy, other than:

a. Earthquake; or

b. Land shock waves or tremors, which occur before, during or after a volcanic eruption.

CONDITIONS

With respect to the coverage provided by this endorsement, Paragraph **B. Deductible** is replaced by the following:

B. Deductible

We will pay only that part of your assessment per unit that exceeds $500. No other deductible applies to this coverage.

All other provisions of this Policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

LIMITED WATER BACK-UP AND SUMP DISCHARGE OR OVERFLOW COVERAGE – TEXAS

SCHEDULE

Limited Water Back-up And Sump Discharge Or Overflow Coverage Limit Of Liability	**$**
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

A. Coverages

F. Other Coverages

(This is Paragraph **E.** in **DP 00 01.**)

The following coverage is added:

Limited Water Back-up And Sump Discharge Or Overflow Coverage

We will pay up to the Limit Of Liability shown in the Schedule for direct physical loss, not caused by your negligence, or that of any person insured under this Policy, to covered property caused by water, or waterborne material, which:

1. Originates from within the dwelling on the Described Location and backs up through sewers or drains; or

2. Overflows or is discharged from a:

a. Sump, sump pump; or

b. Related equipment;

even if such overflow or discharge results from mechanical breakdown or power failure. This coverage does not apply to direct physical loss of the sump pump, or related equipment, which is caused by mechanical breakdown or power failure.

This coverage does not increase the limits of liability for Coverage **A, B, C, D** or, if covered, Coverage **E** stated in the Declarations.

B. Perils Insured Against

With respect to the coverage provided under this endorsement, Paragraphs:

A.2.c.(8)(b) in Form **DP 00 03;** and

2.c.(8)(b) in Endorsement **DP 05 55;**

are replaced by the following:

Latent defect, inherent vice or any quality in property that causes it to damage or destroy itself;

C. General Exclusions

With respect to the coverage provided under this endorsement:

1. The **Water** Exclusion is replaced by the following:

Water

This means water which backs up through sewers or drains, or overflows or is discharged from a sump, sump pump or related equipment, as a direct or indirect result of:

a. Flood, surface water, waves, including tidal wave and tsunami, tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind, including storm surge;

b. Water below the surface of the ground, including water which exerts pressure on, or seeps, leaks or flows through a building, sidewalk, driveway, patio, foundation, swimming pool or other structure; or

c. Waterborne material carried or otherwise moved by any of the water referred to in **C.1.a.** through **C.1.b.** of this exclusion.

This exclusion applies regardless of whether any of the above, in **C.1.a.** through **C.1.c.,** is caused by an act of nature or is otherwise caused.

This exclusion applies to, but is not limited to, escape, overflow or discharge, for any reason, of water or waterborne material from a dam, levee, seawall or any other boundary or containment system.

However, direct loss by fire or explosion resulting from any of the above, in **C.1.a.** through **C.1.c.,** is covered.

2. The **Power Failure** Exclusion does not apply.

All other provisions of this Policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

If:

1. Aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed $100 billion in a calendar year; and

2. We have met our insurer deductible under the Terrorism Risk Insurance Act;

we shall not be liable for the payment of any portion of the amount of such losses that exceeds $100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The federal Terrorism Risk Insurance Act includes the following criteria in a "certified act of terrorism":

1. The act resulted in insured losses in excess of $5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and

2. The act:

a. Is violent or dangerous to:

(1) Human life;

(2) Property; or

(3) Infrastructure; and

b. Is committed by an individual or individuals; and

c. Is part of an effort:

(1) To coerce the civilian population of the United States; or

(2) To influence the policy or affect the conduct of the United States Government by coercion.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION OF RESIDENTIAL COMMUNITY PROPERTY CLAUSE – TEXAS

CONDITIONS

Residential Community Property Clause is deleted.

All other provisions of this policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SWORN STATEMENT IN PROOF OF LOSS – TEXAS

(THIS FORM IS NOT A RELEASE.)

SCHEDULE

The statements made in this sworn statement in proof of loss are to the best of my knowledge and belief.

1) Time And Cause Of Loss:

a. Date Of Loss:

b. Time Of Loss:

c. Cause Of Loss: (Explain)

2) Interest:

a. List the name and interest of the insured's in the damaged property (owner, leasehold, etc.):

(1)

(2)

b. List the name and interest of all others in the damaged property (mortgagee, loss payee, assignee, etc.):

(1)

(2)

3) Other Insurance:

If there is other insurance which may cover this loss, provide the company name(s) and policy number(s).

a.

b.

c.

4) Valuation Of The Damaged Property At The Time Of Loss:

PROPERTY DESCRIPTION	ACTUAL CASH VALUE	REPLACEMENT COST VALUE	AMOUNT CLAIMED
Dwelling			
Other Structures			
Personal Property			
Other			

5) Changes In Title Or Occupancy: (List any changes in title or occupancy during the term of the policy.)

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6) Additional Living Expenses/Fair Rental Value:
(Attach any receipts for additional living expenses incurred and/or records that support the fair rental value loss.)

Signature:_____ Date:_____ Signature:_____ Date:_____
Subscribed and sworn to before me this day_____ day of _____ (Month)_____ (Year)
Signed:_____ My commission expires_____
Notary Public In and For: *(County, Texas)*_____

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EQUIPMENT BREAKDOWN ENHANCEMENT ENDORSEMENT

This endorsement modifies insurance provided under the following:

DWELLING PROPERTY 3 – SPECIAL FORM DP 00 03 07 14

Read the entire endorsement carefully to determine rights, duties and what is and is not covered.

"Equipment Breakdown" coverage is subject to a $100,000 per Occurrence Limit of Liability.
"Equipment Breakdown" coverage is subject to a $500 per Occurrence Deductible.

DEFINITIONS

With respect to this endorsement only, the following DEFINITIONS are added:

1. "Equipment breakdown" as used herein means:

a. Physical loss or damage both originating within:

(1) Boilers, fired or unfired pressure vessels, vacuum vessels, and pressure piping, all normally subject to vacuum or internal pressure other than static pressure of contents, excluding:

(a) Waste disposal piping;

(b) Any piping forming part of a fire protective system; and

(c) Any water piping other than:

(i) boiler feed water piping between the feed pump and the boiler;

(ii) boiler condensate return piping; or

(iii) water piping forming part of a refrigerating or air conditioning system used for cooling, humidifying or space heating purposes

(2) All mechanical, electrical, electronic or fiber optic equipment; and

b. Caused by, resulting from, or consisting of:

(1) Mechanical breakdown;

(2) Electrical or electronic breakdown; or

(3) Rupture, bursting, bulging, implosion, or steam explosion.

However, "equipment breakdown" will not mean:

a. Physical loss or damage caused by or resulting from any of the following; however, if loss or damage not otherwise excluded results, then we will pay for such resulting damage:

(1) Wear and Tear;

(2) Rust or other corrosion, decay, deterioration, hidden or latent defect, mold or any other quality in property that causes it to damage or destroy itself;

(3) Smog;

(4) Settling, cracking, shrinking or expansion;

(5) Nesting or infestation, or discharge or release of waste products or secretions, by birds, rodents or other animals;

(6) Any accident, loss, damage, cost, claim, or expense, whether preventative, remedial, or otherwise, directly or indirectly arising out of or relating to the recognition; interpretation; calculation; comparison; differentiation; sequencing; or processing of data by any computer system. This includes any hardware, programs or software; or

(7) Scratching and marring;

b. Loss, damage, cost or expense directly caused by, contributed to by, resulting from or arising out of the following causes of loss:

Fire, lightning, combustion explosion, windstorm or hail, weight of snow, ice or sleet, freezing, falling objects, smoke, aircraft or vehicles, riot or civil commotion, vandalism and malicious mischief, sinkhole collapse, volcanic action, leakage from fire extinguishing equipment, water, water damage, earth movement and flood.

2. "Green" as used herein means products, materials, methods and processes certified by a "green authority" that conserve natural resources, reduce energy or water consumption, avoid toxic or other polluting emissions or otherwise minimize environmental impact.

3. "Green authority" as used herein means an authority on "green" buildings, products, materials, methods or processes certified and accepted by Leadership in Energy and Environmental Design (LEED®), Green Building Initiative Green Globes®, Energy Star Rating System or any other recognized "green" rating system.

4. "Motor vehicle" as used herein means any self-propelled land or amphibious vehicle.

COVERAGES

F. Other Coverages

With respect to this endorsement only, the following **Other Coverages** are added as a part of and not in addition to the limit per loss:

13. Expediting Expense

We will pay for the expediting expense loss resulting from an "equipment breakdown" with respect to your damaged Covered Property. We will pay the "reasonable extra cost" to:

a. Make temporary repairs;

b. Expedite permanent repairs; and

c. Expedite permanent replacement

"Reasonable extra cost" shall mean the extra cost of temporary repair and of expediting the repair of such damaged equipment of the insured, including overtime and the extra cost of express or other rapid means of transportation. The most we will pay for loss or damage under this Other Coverage is $10,000.

14. Spoilage Coverage

We will pay for loss of perishable goods due to spoilage resulting from lack of power, light, heat, steam or refrigeration caused by an "equipment breakdown" to Personal Property covered by this policy. The most we will pay for loss or damage under this Other Coverage is $10,000.

15. Pollutant Clean Up and Removal

We will pay for the pollutant clean up and removal for loss resulting from an "equipment breakdown" to Covered Property. The most we will pay for loss or damage under this Other Coverage is $10,000.

16. Off – Premises Coverage

We will pay for loss or damage to Covered Property resulting from an "equipment breakdown" while temporarily at a premises or location that is not a Described Location. This coverage does not apply to any "motor vehicle".

The most we will pay for loss or damage under this Other Coverage is $10,000.

PERILS INSURED AGAINST

With respect to this endorsement only, the following changes apply:

A. Coverage A – Dwelling And Coverage B – Other Structures includes the peril of "equipment breakdown".

Under **A. Coverage A . Dwelling And Coverage B . Other Structures** the following **Peril Insured Against** is modified and replaced with:

A.2.c.(8)(b) Latent defect, inherent vice, or any quality in property that causes it to damage or destroy itself;

Under **B. Coverage C. - Personal Property** the following **Peril Insured Against** is modified:

15. Sudden And Accidental Damage From Artificially Generated Electrical Current

Under **B. Coverage C. - Personal Property** the following **Peril Insured Against** is added:

17. "Equipment Breakdown"

CONDITIONS

With respect to this endorsement only, the following CONDITION is deleted and replaced with:

E. Loss Settlement

1. We will pay you the amount you spend to repair or replace your Covered Property damaged by an "equipment breakdown". Our payment will be the lesser of:

a. The cost at the time of the "equipment breakdown" to repair the damaged Covered Property;

b. The cost at the time of the "equipment breakdown" to replace the Covered Property with property of like kind, capacity, size and quality; or

c. The amount you actually spend that is necessary to repair or replace the damaged property.

2. As respects your Covered Property, if the cost of repairing or replacing only a part of the Covered Property is greater than:

a. The cost of repairing the Covered Property; or

b. The cost of replacing the entire Covered Property on the same site,

We will pay the lesser amount.

The repair parts or replacement Covered Property must be:

a. Of like kind, capacity, size and quality; and

b. Used for the same purpose.

With respect to this endorsement only, **t**he following CONDITIONS are added:

AA. "Equipment breakdown" coverage does not extend beyond the Described Location except as provided under the Other Coverage for Off-Premises Coverage.

BB. Green Environmental, Safety, and Efficiency Improvements

If Covered Property requires repair or replacement due to an "equipment breakdown", we will pay:

a. The additional cost to repair or replace that property with equipment that is better for the environment, safer, or more efficient than the equipment being repaired or replaced.

b. The additional reasonable and necessary fees incurred by the Insured for an accredited professional certified by a "green authority" to participate in the repair or replacement of physically damaged Covered Property as "green".

c. The additional reasonable and necessary cost incurred by the Insured for certification or recertification of the repaired or replaced Covered Property as "green".

d. The additional reasonable and necessary cost incurred by the Insured for "green" in the removal, disposal or recycling of damaged Covered Property.

e. The fair rental value (if covered within the Policy to which this Equipment Breakdown Enhancement Endorsement is attached) loss during the additional time required for repair or replacement of Covered Property, consistent with "green", in the coverages above.

However, we will not pay more than 150% of what the cost would have been to repair or replace such property with like kind and quality inclusive of fees, costs, and any loss of use loss incurred as stated above.

These Conditions will be part of, and not in addition to, the limit of liability per loss or any other sublimits of this Policy.

All other terms, provisions and conditions of the policy remain the same.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SPECIAL PROVISIONS AND DEFINITIONS - TEXAS

The following provisions are added:

This policy is issued, as a reciprocal exchange, by SURE Risk Management, LLC as Attorney-in-Fact for SureChoice Underwriters Reciprocal Exchange in accordance with the powers vested in the Attorney-in-Fact by an agreement, executed by the subscribers.

The subscribers at SureChoice Underwriters Reciprocal Exchange do severally agree to insure the subscriber named in the policy to which this endorsement is attached.

PARTICIPATION: The insured is by virtue of the policy to which this endorsement is attached, a member of the Exchange, subject to the Articles of Agreement, reference to which is had and shall be entitled to such unabsorbed premium or dividend as may be declared by the advisory committee, subject, however, to approval in accordance with the provisions of the Texas Insurance Code.

VOTING AND ANNUAL MEETING NOTICE - The subscriber named in the policy to which this endorsement is attached is hereby notified that the subscriber is entitled to vote either in person or by proxy at any and all meetings of SureChoice Underwriters Reciprocal Exchange and that the Annual Meetings of SureChoice Underwriters Reciprocal Exchange are held in its Home Office on the second (2nd) Monday in April of each year, at [_____10:00 AM_____] o'clock [____CST_____].

The following paragraphs are added:

RECIPROCALS - SPECIAL DEFINITIONS AND PROVISIONS - PLAN OF OPERATION
Wherever the words “Policy”, “Insured”, “Company”, “Premium”, and “President”, occur herein they shall be taken and construed to mean “Contract”, “Subscriber”, “Reciprocal or Inter-Insurance Exchange”, “Deposit”, and “Attorney-in-Fact”, respectively.

"NO CONTINGENT LIABILITY" - No policyholder in this Exchange incurs any liability other than Deposit Premium or Premium Paid, the Exchange having a free surplus in the amount defined by Chapter 942 of the Texas Insurance Code, and in accordance with the Exchange's Articles of Agreement.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SPECIAL PROVISIONS – TEXAS

DEFINITIONS

The following definitions are added:

"Fungi"

"Fungi" means any type or form of fungus, including mold or mildew and any mycotoxins, spores, scents or by-products produced or released by fungi.

"Business Day"

"Business day" means a day other than a Saturday, Sunday or holiday recognized by the state of Texas.

"Exterior Insulation And Finish System (EIFS)"

"Exterior insulation and finish system (EIFS)", including Dryvit, means a non-load bearing exterior cladding or finish system, and all component parts therein, used on any part of any structure, and consisting of:

a. A rigid or semi-rigid insulation board made of expanded polystyrene and other materials;

b. The adhesive and/or mechanical fasteners used to attach the insulation board to the substrate;

c. A reinforced or unreinforced base coat;

d. A finish coat providing surface texture to which color may be added and;

e. Any flashing, caulking or sealant used with the system for any purpose.

However, an "exterior insulation and finish system" does not include a cement-based, enhanced stucco cladding system which:

a. Incorporates a weather resistive building wrap; and

b. Incorporates ribbed insulation board to provide drainage.

"Fuel System"

"Fuel System" means:

a. One or more containers, tanks or vessels which have a total combined storage capacity of 100 or more U.S. gallons of liquid fuel; and:

1) Are, or were, used to hold liquid fuel; and

2) Are, or were, located on any one location;

b. Any pumping apparatus, which includes the motor, gauge, nozzle, hose or pipes that are, or were connected to one or more containers, tanks or vessels described in Paragraph **a**;

c. Filler pipes and flues connected to one or more containers, tanks or vessels described in Paragraph **a**;

d. A boiler, furnace or water heater, the fuel for which is stored in a container, tank or vessel described in Paragraph **a**;

e. Fittings and pipes connecting the boiler, furnace or water heater to one or more containers, tanks or vessels described in Paragraph **a**; or

f. A structure that is specifically designed and built to hold the liquid fuel that escapes from one or more containers, tanks or vessels described in Paragraph **a**.

"Fuel system does not include any fuel tanks that are permanently affixed to a "motor vehicle" or watercraft owned by an "insured", used for powering the motor vehicle or watercraft and not used at any time or in any manner for "business".

COVERAGES

B. Coverage B – Other Structures

The following Paragraph **3**. is added:

3. The limit of liability for this coverage will not be more than the limit of liability on the declaration page for Coverage **B**. Use of this coverage does not reduce the Coverage **A** limit of liability.

F. Other Coverages

Paragraph **1. Other Structures** is replaced by the following:

1. Other Structures

The limit of liability for this coverage will not be more than the limit of liability on the declaration page for Coverage **B**. Use of this coverage does not reduce the Coverage **A** limit of liability.

Coverage A – Dwelling And Coverage B – Other Structures

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Special Limits Of Liability

Cosmetic and Aesthetic Damage to Floors

The total limit of liability for Coverages **A** and **B** combined is $10,000 per policy term for cosmetic and aesthetic damages to floors.

1. Cosmetic or aesthetic damage includes, but is not limited to chips, scratches, dents or any other damage to less than 5% of the total floor surface area and does not prevent typical use of the floor.
2. This limit includes the cost of tearing out and replacing any part of the building necessary to repair the damaged flooring.
3. The limit does not increase the Coverage **A** or Coverage **B** limits of liability shown on the declarations page.
4. This limit does not apply to cosmetic or aesthetic damage to floors caused by a **Peril Insured Against** as named and described under Coverage **C** – Personal Property.

For all forms except **DP 00 01,** the following is added to Paragraph **F.12. Ordinance Or Law:**

f. If the insured property is located in an area which is eligible for coverage through the Texas Windstorm Insurance Association, the coverage described above also applies to the increased cost you incur due to repair, replacement or demolition required for the dwelling to comply with the building specifications contained in the Texas Windstorm Insurance Association's plan of operation.

PERILS INSURED AGAINST

For Form **DP 00 03,** Paragraph **A.2.c.(8)(c)** is replaced by the following:

(c) Smog, rust or other corrosion, wet or dry rot;

GENERAL EXCLUSIONS

Paragraph **8. Intentional Loss** is replaced by the following:

8. Intentional Loss

a. Intentional Loss means any loss arising out of any act you or any person named as an additional insured commits or conspires to commit with the intent to cause a loss.

In the event of such loss, neither you nor any such person or organization is entitled to coverage, even those who did not commit or conspire to commit the act causing the loss.

b. However, this exclusion does not apply to an insured who did not cooperate in or contribute to the creation of the loss if that insured has:

(1) Filed a police report; and

(2) Cooperated with law enforcement investigation or prosecution relating to any other insured causing the intentional loss.

c. If we pay a claim pursuant to Paragraph **8.b.,** our payment to the person insured is limited to their insurable interest in the property less any payments we first made to a mortgagee or other party with a secured interest in the Policy. In no event will we pay more than the limit of liability. As a condition of payment for intentional loss caused by another insured under this exception to the exclusion, we may require an assignment of rights of recovery to the extent that payment is made by us.

The following exclusions are added:

10. "Fungi" Or Microbes

a. "Fungi" or microbes, means the presence, growth, proliferation, spread or any activity of "fungi" or microbes.

This exclusion also applies to the cost:

(1) To remove "fungi" or microbes from property covered under Coverages;

(2) To tear out and replace any part of the building or other covered property as needed to gain access to the "fungi" or microbes; and

(3) Of testing of air or property to confirm the absence, presence or level of "fungi" or microbes;

b. Exclusion **10.a.** applies unless the "fungi" or microbes are located upon the portion of covered property which must be repaired or replaced because of direct physical damage resulting from sudden and accidental discharge or overflow of water which would otherwise be covered under this Policy. For purposes of this exclusion, sudden and accidental shall include a loss event that is hidden or concealed for a period of time until it is detectable. A hidden loss must be reported to us no later than 30 days after the date it was detected or should have been detected.

c. However, the exception to the exclusion described in **10.b.** does not include:

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(1) The cost to treat, contain, remove or dispose of the "fungi" or microbes beyond that which is required to repair or replace the covered property physically damaged by water;

(2) The cost of any testing of air or property to confirm the absence, presence or level of "fungi" or microbes, whether performed prior to, during or after removal, repair, restoration or replacement;

(3) The cost of any decontamination of the Described Location; and

(4) Any increase in loss under Coverage **D** – Fair Rental Value and Coverage **E** – Additional Living Expense, if applicable, and Other Coverage **2.** Debris Removal resulting from **c.(1), (2)** or **(3).**

Direct loss by fire, smoke or explosion resulting from "fungi" or microbes is covered.

11. Exterior Insulation and Finish Systems (EIFS), including Dryvit

This insurance does not apply to loss, “bodily injury”, or “property damage” arising out of, caused by, or attributable to, whether in whole or in part, by seepage, delamination, detachment, cracking, insect damage, collapse or imminent collapse, caused in whole or part, by the design, manufacture, construction, fabrication, preparation, distribution and sale, installation, application, maintenance or repair, including remodeling, service, correction or replacement, of any “exterior insulation and finish system” or any part thereof, or any substantially similar system or any part thereof, including the application or use of conditioners, primers, accessories, flashings, coatings, caulking or sealants in connection with such a system, that may have been applied.

CONDITIONS

The following paragraph is added to Paragraph **B. Insurable Interest And Limit Of Liability:**

Policy A Liquidated Demand

A fire insurance policy, in case of a total loss by fire of property insured, shall be held and considered to be a liquidated demand against the company for the full amount of such policy. This provision shall not apply to personal property.

Paragraph **D. Duties After Loss** is replaced by the following:

D. Duties After Loss

1. Your Duties After Loss

In case of a loss to covered property, we have no duty to provide coverage under this Policy if the failure to comply with the following duties is prejudicial to us. These duties must be performed either by you or your representative:

a. Give prompt notice to us or our agent. With respect to loss caused by windstorm or hail in the catastrophe area, as defined by the Texas Insurance Code, any claim must be filed with us not later than one year after the date of the loss that is the subject of the claim. However, any such claim may be filed after the first anniversary of the date of the loss for good cause shown by the person filing the claim;

b. Protect the property from further damage. If repairs to the property are required you must:

(1) Make reasonable and necessary repairs to protect the property;

(2) Keep an accurate record of repair expenses;

c. Cooperate with us in the investigation of a claim;

d. Prepare an inventory of damaged personal property showing the quantity, description, actual cash value and amount of loss. Attach all bills, receipts and related documents that justify the figures in the inventory;

e. As often as we reasonably require:

(1) Show the damaged property;

(2) Provide us with records and documents we request and permit us to make copies; and

(3) Submit to examination under oath, while not in the presence of any other named insured, and sign the same. However, in the case of a minor, a parent or guardian may be present during the examination.

f. Send to us, within 91 days after our request, your signed, sworn proof of loss on a standard form supplied by us. We must request a signed, sworn proof of loss within 15 days after we receive your written notice, or we waive our right to require a proof of loss. Such waiver will not waive our other rights under this Policy.

(1) This proof of loss shall set forth, to the best of your knowledge and belief:

(a) The time and cause of loss;

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(b) Your interest and that of all others in the property involved and all liens on the property;

(c) Other insurance which may cover the loss;

(d) Changes in title or occupancy of the property during the term of the Policy;

(e) Specifications of damaged buildings and detailed repair estimates;

(f) The inventory of damaged personal property described in **D.1.d.;** and

(g) Receipts for additional living expenses incurred and records that support the fair rental value loss.

(2) If you elect to make claim under the Replacement Cost Coverage of this Policy, this proof of loss shall also state, to the best of your knowledge and belief:

(a) The replacement cost of the described dwelling;

(b) The replacement cost of any other building on which loss is claimed; or

(c) The full cost of repair or replacement of loss without deduction for depreciation.

2. Our Duties After Loss

a. No later than 15 days after we receive your written notice of claim, we must:

(1) Acknowledge receipt of the claim;

If our acknowledgment of the claim is not in writing, we will keep a record of the date, means and content of our acknowledgment;

(2) Begin an investigation of the claim; and

(3) Specify the information you must provide in accordance with Paragraph **D.1.** Your Duties After Loss above;

We may request more information if during the investigation of the claim such additional information is necessary.

b. After we receive the information we request, we must notify you in writing whether the claim will be paid or has been denied or whether more information is needed:

(1) Within 15 "business days"; or

(2) Within 30 days if we have reason to believe the loss resulted from arson.

c. If we do not approve payment of your claim or require more time for processing your claim, we must:

(1) Give the reason for denying your claim; or

(2) Give the reasons we require more time to process your claim. But we must either approve or deny your claim within 45 days after requesting more time.

For Form **DP 00 01,** Paragraph **E. Loss Settlement** is replaced by the following:

E. Loss Settlement

1. Covered property losses other than jewelry losses are settled at actual cash value at the time of loss but not more than the amount required to repair or replace the damaged property.

2. Jewelry losses are settled at replacement cost at the time of loss without deduction for depreciation.

For Forms **DP 00 02** and **DP 00 03,** Paragraph **E.1.** in **Loss Settlement** is replaced by the following:

1. Property of the following types:

a. Personal property other than jewelry;

b. Awnings, carpeting, household appliances, outdoor antennas and outdoor equipment, whether or not attached to buildings; and

c. Structures that are not buildings;

at actual cash value at the time of loss but not more than the amount required to repair or replace.

For Forms **DP 00 02** and **DP 00 03,** Paragraph **3.** is added to **E. Loss Settlement:**

3. Jewelry at replacement cost at the time of loss without deduction for depreciation.

Paragraph **F. Loss To A Pair Or Set** is replaced by the following:

F. Loss To A Pair Or Set

1. In case of loss to a pair or set other than jewelry, we may elect to:

a. Repair or replace any part to restore the pair or set to its value before the loss; or

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b. Pay the difference between actual cash value of the property before and after the loss.

2. Loss to a jewelry pair or set will be settled at replacement cost at the time of loss without deduction for depreciation.

Paragraph **J. Suit Against Us** is replaced by the following:

J. Suit Against Us

1. Except as provided in Paragraph **2.,** no suit or action can be brought unless there has been full compliance with all of the terms under this Policy. Action must be brought against us within two years and one day after the cause of action first accrues. A cause of action accrues on the date of the initial breach of our contractual duties as alleged in the action.

2. With respect to suits brought in connection with claims for loss caused by windstorm or hail in the catastrophe area, as defined by the Texas Insurance Code:

No action can be brought against us unless there has been compliance with all of the terms of this Policy. The action must be brought within the earlier of the following:

a. Two years and one day from the date we accept or reject the claim; or

b. Three years and one day from the date of the loss that is the subject of the claim.

(This is Condition **K.** in Form **DP 00 01.**)

Paragraph **L. Loss Payment** is replaced by the following:

L. Loss Payment

We will adjust all losses with you. We will pay you unless some other person is named in the Policy or is legally entitled to payment.

If we notify you that we will pay your claim, or part of your claim, we must pay within five "business days" after we notify you. If payment of your claim or part of your claim requires the performance of an act by you, we must pay within five "business days" after the date you perform the act.

(This is Condition **M.** in Form **DP 00 01.**)

Paragraph **N. Mortgage Clause** is replaced by the following:

N. Mortgage Clause (Without Contribution)

1. We will pay for any covered loss of or damage to buildings or structures to the mortgagee shown on the Declarations page as interests appear;

2. The mortgagee has the right to receive loss payment even if the mortgagee has started foreclosure or similar action on the building or structure;

3. If we deny your claim because of your acts or because you have failed to comply with the terms of this Policy, the mortgagee has the right to receive loss payment if the mortgagee:

a. At our request, pays any premium due under this Policy, if you have failed to do so;

b. Submits a signed, sworn statement of loss within 91 days after receiving notice from us of your failure to do so;

c. Has notified us of any changes in ownership, occupancy or substantial changes in risk known to the mortgagee.

All of the terms of this Policy will then apply directly to the mortgagee.

Failure of the mortgagee to comply with **3.a., 3.b.** or **3.c.** above shall void this Policy as to the interest of the mortgagee.

4. If we pay the mortgagee for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Policy:

a. The mortgagee's rights under the mortgage will be transferred to us to the extent of the amount we pay.

b. The mortgagee's right to recover the full amount of the mortgagee's claim will not be impaired.

At our option, we may pay to the mortgagee the whole principal on the mortgage plus any accrued interest. In this event, your mortgage and note will be transferred to us and you will pay your remaining mortgage debt to us.

5. If this Policy is cancelled, we will give the mortgagee specifically named on the Declarations page written notice of cancellation.

If we cancel the Policy, we will give the mortgagee the same number of days' notice of cancellation we give you.

If you cancel the Policy, we will give the mortgagee notice of cancellation to be effective on the date stated in the notice. The date of cancellation cannot be before the 10th day after we mail the notice.

We will not give notice of cancellation to any successor or assignee of the mortgagee named in the Policy.

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6. If the property described under Coverage **A** – Dwelling or Coverage **B** – Other Structures is foreclosed upon under the deed of trust, the mortgagee may cancel this Policy of insurance and will be entitled to any unearned premium from this Policy.

   The mortgagee must credit any unearned premium against any deficiency owed by the borrower and return any unearned premium not so credited to the borrower. The unearned premium will be figured using the customary pro rata procedures.

7. If we elect not to renew this Policy, the mortgagee specifically named on the Declarations page will be given 30 days' written notice of the nonrenewal.

(This is Condition **O.** in Form **DP 00 01.**)

Paragraph **P. Cancellation** is replaced by the following:

P. Cancellation

1. You may cancel this Policy at any time by returning it to us or by letting us know in writing of the date cancellation is to take effect.
2. We may cancel this Policy at any time for the reasons stated in this condition by mailing you notice in writing of the date cancellation takes effect.
   a. If this Policy has been in effect for less than 90 days and is not a renewal policy, we may cancel this Policy for any reason.

   The effective date of cancellation cannot be before:

   (1) The 10th day after we mail notice if we cancel for nonpayment of premium.

   (2) The 30th day after we mail notice if we cancel for any other reason.

   b. If this Policy has been in effect 90 days or more, or at any time if it is a renewal policy, we may not cancel this Policy unless:

   (1) You do not pay the premium or any portion of the premium due.

   (2) The Texas Department of Insurance determines that continuation of the Policy would violate the Texas Insurance Code or any other laws governing the business of insurance in this state.

   (3) You submit a fraudulent claim.

   (4) There is an increase in the hazard covered by this Policy that is within your control and that would produce an increase in the premium rate of this Policy.

   The effective date of cancellation cannot be before the 10th day after we mail the notice. Our notice of cancellation must state the reason for cancellation.
3. When this Policy is cancelled, we will send you any refund due not later than the 15th "business day" after the effective date of cancellation. The premium for the period from the date of cancellation to the expiration date will be refunded pro rata.
4. If we cancel, our notice to you will state that if the refund is not included with the notice, it will be returned on demand or not later than the 15th "business day" after the date of cancellation.
5. We may not cancel this Policy solely because you are an elected official.

(This is Condition **Q.** in Form **DP 00 01.**)

Paragraph **Q. Nonrenewal** is replaced by the following:

Q. Refusal To Renew

1. We may not refuse to renew this Policy because of claims for losses resulting from natural causes.
2. We may not refuse to renew this Policy solely because you are an elected official.
3. We may refuse to renew this Policy if you have filed three or more claims under the Policy in any three-year period that do not result from natural causes.

   If you have filed two claims in a period of less than three years, we may notify you in writing that if you file a third claim during the three- year period, we may refuse to renew this Policy by providing you proper notice of our refusal to renew as provided in **4.** below. If we do not notify you after the second claim, we may not refuse to renew this Policy because of losses.

   A claim does not include a claim that is filed but is not paid or payable under the Policy.
4. If we refuse to renew this Policy, we must deliver to you, or mail to you at your mailing address shown on the Declarations page and any mortgagee named on the Declarations page, written notice of our refusal to renew not later than the 30th day before the date on which this Policy expires.

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However, if this Policy was issued or renewed on or after January 1, 2024 and If we refuse to renew, we must deliver to you, or mail to you at your mailing address shown on the Declarations page and any mortgagee named on the Declarations page, written notice of our refusal to renew not later than the 60th day before the date on which this Policy expires.

Proof of mailing will be sufficient proof of notice. If we fail to give you proper notice of our decision not to renew, you may require us to renew the Policy.

(This is Condition **R.** in Form **DP 00 01.**)

The following conditions are added:

Residential Community Property Clause

It is understood and agreed that this policy, subject to all other terms and conditions contained in this policy, when covering residential community property, as defined by state law, shall remain in full force and effect as to the interest of each spouse covered, irrespective of divorce or change of ownership between the spouses unless excluded by endorsement attached to this policy until the expiration of the policy or until canceled in accordance with the terms and conditions of this policy.

Catastrophe Claims

If a claim results from a weather-related catastrophe or a major natural disaster, each claim-handling deadline shown in **D.** Duties After Loss and **L.** Loss Payment is extended for an additional 15 days.

Catastrophe or Major Natural Disaster means a weather-related event which is determined to be a catastrophe by the Texas Department of Insurance.

All other provisions of this Policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SPECIAL PROVISIONS – TEXAS

EXCLUSIONS

The following exclusions are added:

Coverages **L** and **M** do not apply to the following:

Trampolines

"Bodily injury" or "property damage" arising out of the ownership or use of a trampoline owned by, rented by or loaned to any insured, whether on the residence premises or elsewhere.

Animals

"Bodily injury" or "property damage" caused by any animal owned or kept by you or any insured whether or not the injury or damage occurs on your premises or any other location.

Diving Boards or Slides

"Bodily injury" or "property damage" arising out of the ownership or use of a diving board or slide owned by or rented by any insured whether on the residence premises or elsewhere.

Escaped Fuel

Arising out of, resulting from, caused by or contributed to by the escape or release of fuel from a "fuel system". This exclusion applies, but is not limited to:

a. Any supervision, recommendations, warnings or advice given in connection with the above;

b. Any obligation to share damages, losses, costs, payments or expenses with or repay someone else who must make payment because of such "bodily injury" or "property damage", damages, loss, cost, payment or expense; or

c. Any request, order or requirement to test for, monitor, abate, mitigate, remediate, contain, remove, dispose of, or in any way respond to or assess the effect of fuel in any form.

However, this exclusion does not apply to "bodily injury" or "property damage" arising out of fire or explosion that results from such escaped or released fuel.

Lead

Any loss, cost, payment or expense, including, but not limited to, defense and investigation, of any kind arising out of, resulting from, caused by or contributed to by the actual or alleged presence or actual, alleged or threatened dispersal, release, ingestion, inhalation or absorption of lead, lead pigment, lead compounds or lead in any form which is or was contained or incorporated into any material or substance. This exclusion applies, but is not limited to:

a. Any supervision, instructions, recommendations, warnings or advice given in connection with the above.

b. Any obligation to share damages, losses, costs, payments or expenses with or repay someone else who must make payment because of such "bodily injury" or "property damage", damages, loss, cost, payment or expense; or

c. Any request, order or requirement to test for, monitor, abate, mitigate, remediate, contain, remove, dispose of, or in any way respond to or assess the effects of lead, lead pigment, lead compounds or materials or substances containing lead in any form.

"Fungi" or Microbes

"Bodily injury" or "property damage" arising out of, consisting of, caused by, contributed to, aggravated by or resulting from, whether directly or indirectly, by "fungi" or other microbes. This includes:

a. The cost of testing, monitoring, abating, mitigating, removing, remediating or disposing of "fungi" or other microbes;

b. Any supervision, instruction, disclosures, or failures to disclose, recommendations, warnings, or advice given, or that allegedly should have been given, in connection with "bodily injury" or "property damage" consisting of, arising out of, caused by, contributed to, aggravated by or resulting from, whether directly or indirectly, by "fungi" or other microbes, or the activities described in **a.** above;

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c. Any obligation to share with or repay another who must pay damages because of “bodily injury” or “property damage” damage of the type described in this exclusion. This applies regardless of any other cause that contributed directly or indirectly, concurrently or in any sequence to the “bodily injury” or “property damage”; and

d. Liability imposed upon any “insured” by any governmental authority for “bodily injury” or “property damage” consisting of, arising out of, caused by or resulting from, whether directly or indirectly, by “fungi” or other microbes.

Exterior Insulation and Finish Systems (EIFS), including Dryvit

This insurance does not apply to loss, “bodily injury”, or “property damage” arising out of, caused by, or attributable to, whether in whole or in part, by seepage, delamination, detachment, cracking, insect damage, collapse or imminent collapse, caused in whole or part, by the design, manufacture, construction, fabrication, preparation, distribution and sale, installation, application, maintenance or repair, including remodeling, service, correction or replacement, of any “exterior insulation and finish system” or any part thereof, or any substantially similar system or any part thereof, including the application or use of conditioners, primers, accessories, flashings, coatings, caulking or sealants in connection with such a system, that may have been applied.

Paragraph **E.1. Expected Or Intended Injury** is replaced by the following:

1. Expected Or Intended Injury

"Bodily injury" or "property damage" which is expected or intended by an "insured".

However, this Exclusion **E.1.** does not apply to "bodily injury" or "property damage" resulting from the use of reasonable force by an "insured" to protect persons or property;

Paragraph **E.6. Communicable Disease** is replaced by the following:

6. Communicable Disease

"Bodily injury" or "property damage" which arises out of the transmission of sickness or disease by an "insured" through sexual contact;

Paragraph **E.7. Sexual Molestation, Corporal Punishment Or Physical Or Mental Abuse** is replaced by the following:

7. Sexual Molestation, Corporal Punishment Or Physical Or Mental Abuse

"Bodily injury" or "property damage" arising out of sexual molestation, corporal punishment or physical or mental abuse.

For the purposes of this exclusion, abuse means an act which is committed with the intent to cause harm; or

All other provisions of this Policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ACT OF A TENANT OR GUEST OF TENANT EXCLUSION

GENERAL EXCLUSIONS

Form DP 00 01 Only

The following Exclusion is added:

C. We do not cover any act of a tenant, or guests of a tenant, unless the act results in sudden and accidental direct physical loss caused by:

1. fire;
2. explosion;
3. vehicles;
4. smoke. However, we do not cover loss caused by smoke from the manufacturing of controlled substances, agricultural substances, agricultural smudging or industrial operations;
5. increase or decrease of artificially generated electrical current to electrical appliances, fixtures and wiring;
6. bulging, burning, cracking or rupture of a steam or hot water heating system, an air conditioning system, an automatic fire protection system, or a household appliance;
7. water or steam that escapes, due to accidental discharge or overflow, from a plumbing, heating or air conditioning system, an automatic fire protection system, or a household appliance; or
8. freezing of a plumbing, heating or air conditioning system or a household appliance.

Forms DP 00 02 and DP 00 03 Only

The following Exclusion is added:

10. any act of a tenant, or guests of a tenant, unless the act results in sudden and accidental direct physical loss caused by:

a. fire;
b. explosion;
c. vehicles;
d. smoke. However, we do not cover loss caused by smoke from the manufacturing of controlled substances, agricultural substances, agricultural smudging or industrial operations;
e. increase or decrease of artificially generated electrical current to electrical appliances, fixtures and wiring;
f. bulging, burning, cracking or rupture of a steam or hot water heating system, an air conditioning system, an automatic fire protection system, or a household appliance;
g. water or steam that escapes, due to accidental discharge or overflow, from a plumbing, heating or air conditioning system, an automatic fire protection system, or a household appliance; or
h. freezing of a plumbing, heating or air conditioning system or a household appliance.

All other provisions of this policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COVERAGE D – FAIR RENTAL VALUE AND COVERAGE E - ADDITIONAL LIVING EXPENSE – LIMIT OF LIABILITY

This policy is amended as follows:

COVERAGES

F. Other Coverages

Form DP 00 01 Only

Other Coverage 5. Rental Values is replaced as follows:

5. Rental Value

You may use up to the limit of liability displayed on your Declarations for loss of fair rental value as described in Coverage **D.**

Payment under this coverage reduces the Coverage **A** limit of liability by the amount paid for the same loss.

Forms DP 00 02 and DP 00 03 only

Other Coverage 5. Rental Value And Additional Living Expense is replaced as follows:

5. Rental Value And Additional Living Expense

You may use up to the limit of liability displayed on your Declarations for loss of both fair rental value as described in Coverage **D** and additional living expense as described in Coverage **E.**

This coverage is additional insurance.

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SCREENED OR TENT LIKE STRUCTURE EXCLUSION AND LIMITED COVERAGE ENDORSEMENT

SCHEDULE

Limited "Screened Or Tent Like Structure" Coverage Limit Of Liability: $
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.

DEFINITIONS

The following definition is added:

"Screened Or Tent Like Structure" means any screened, tent or tent like structure, enclosure, awning or shelter, with or without sidewalls or drops, constructed primarily of screening, fabric, canvas, cloth, nylon or other pliable material, whether or not engineered or custom designed or attached to or set apart from any building or structure. Any sides and the roof or ceiling of these structures or enclosures must be primarily constructed of these materials.

COVERAGES

A. Coverage A – Dwelling

Paragraph **2.** is deleted and replaced by the following:

2. We do not cover:

a. Land, including land on which the dwelling is located; or

b. Any loss due to windstorm or hail to a "Screened Or Tent Like Structure".

This exclusion does not apply to a structure or enclosure that is fully covered by the roof of the main dwelling covered under this policy.

B. Coverage B – Other Structures

The following is added to Paragraph **2.:**

2. We do not cover any loss due to windstorm or hail to a "Screened Or Tent Like Structure".

This exclusion does not apply to a structure or enclosure that is fully covered by the roof of the main dwelling covered under this policy.

F. Other Coverages

The following coverage is added:

Limited Coverage For a "Screened Or Tent Like Structure"

1. For an additional premium, we cover the loss to any "Screened Or Tent Like Structure", Under Coverage **A** – Dwelling or Coverage **B** – Other Structures, as applicable, caused by windstorm or hail. For this coverage to apply, a limit of liability must be shown in Schedule above or in the Declarations for Limited "Screened Or Tent Like Structure" Coverage.

2. The limit of liability shown in the Schedule above or in the Declarations for Limited "Screened Or Tent Like Structure" Coverage is the maximum we will pay for damage to any "Screened Or Tent Like Structure", and does not increase the Coverage **A** – Dwelling or Coverage **B** – Other Structures limit of liability shown in the Declarations. Further, with regard to any "Screened Or Tent Like Structure" any applicable ordinance or law coverage shall be calculated as a percentage of the endorsed limit, and shall not be calculated as a percentage of the limit of liability shown for Coverage **A** – Dwelling or Coverage **B** – Other Structures shown in the Declarations.

3. The applicable policy deductible applies to this coverage. However, in the event that a covered occurrence causes damage to property covered under Coverage **A** and/or Coverage **B** in addition to any "Screened Or Tent Like Structure" covered under this endorsement, the applicable policy deductible applies only once to all covered property.

All other provisions of this policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SWIMMING POOL LIABILITY EXCLUSION

FORM DL 24 01

EXCLUSIONS

The following exclusion is added:

Swimming Pool Liability

This insurance does not apply to loss, “bodily injury”, or “property damage” arising out of, caused by, or attributable to, whether in whole or in part, by:

1. Ownership, maintenance, or use, at the “insured location”, of a swimming pool owned or not owned by an insured or in the care custody or control of an insured: or

2. Supervision by an insured of the use of any swimming pool, including use of a swimming pool not at the “insured location”.

For the purpose of this exclusion, a swimming pool is an in ground or above ground pool of any size or depth.

All other provisions of this policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

LIMITED FOUNDATION COVERAGE – TEXAS

FORM DP 00 03 ONLY

COVERAGES

Under **F. Other Coverages** the following Coverage is added:

LIMITED FOUNDATION COVERAGE

a. We cover settling, shrinking, bulging or expansion, including resultant cracking, of the foundation, floor slab or footings that support the dwelling caused by seepage or leakage of water or steam from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system.

This coverage includes the cost of tearing out and replacing any part of the building necessary to repair the system from which the leakage or seepage occurred.

b. We do not cover loss to the system from which the water or steam escaped.

c. The most we will pay under this coverage is the limit of liability shown in the Declarations for Limited Foundation Coverage.

d. This coverage does not increase the limit of liability that applies to the damaged covered property.

PERILS INSURED AGAINST

The following revisions are made for the purposes of this endorsement only:

Paragraph **A.2.c.(7)** is replaced by the following:

(7) Constant or repeated seepage or leakage of water or steam over a period of 14 or more days from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or from within a household appliance, except as specifically provided by this endorsement.

For purposes of this provision, a plumbing system or household appliance does not include a sump, sump pump or related equipment or a roof drain, gutter, downspout or similar fixtures or equipment;

Paragraph **A.2.c.(8)(f)** is replaced by the following:

(f) Settling, shrinking, bulging or expansion, including resultant cracking, of pavements, patios, footings, foundations, walls, floors, roofs or ceilings, except as specifically provided by this endorsement;

Except as stated in this endorsement, we do not provide coverage for any loss precluded by another provision in this policy.

All other provisions of this policy apply.

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WATER DAMAGE – CONSTANT OR REPEATED SEEPAGE COVERAGE – TEXAS

COVERAGES

Under **F. Other Coverages,** the following coverage is added:

Water Damage Coverage

a. We cover the deterioration, wet or dry rot of property described in Coverages **A, B** and **C** caused by the constant or repeated seepage or leakage of water or steam from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or from within a household appliance.

This coverage includes the cost of tearing out and replacing any part of the building necessary to repair the system from which the leakage or seepage occurred.

b. We do not cover:

(1) Loss to the system or appliance from which the water or steam escaped;

(2) Loss caused by, consisting of, or resulting from "fungi" or microbes; or

(3) "Fungi" or microbes which are the result of constant or repeated seepage or leakage of water or steam (or the presence or condensation of humidity, moisture or vapor) from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or from within a household appliance. This exclusion b. (3) applies unless the “fungi” or microbes are located upon the portion of covered property which must be repaired or replaced because of direct physical damage resulting from sudden and accidental discharge or overflow of water which would otherwise be covered under this Policy. For purposes of this exclusion, sudden and accidental shall include a loss event that is hidden or concealed for a period of time until it is detectable. A hidden loss must be reported to us no later than 30 days after the date it was detected or should have been detected.

c. The most we will pay under this coverage is the limit of liability shown in the Declaration for Water Damage – Constant Or Repeated Seepage Coverage.

d. This coverage does not increase the limit of liability that applies to the damaged covered property.

PERILS INSURED AGAINST

The following revisions are made for the purposes of this endorsement only:

Paragraph **A.2.c.(7)** is replaced by the following:

(7) Constant or repeated seepage or leakage of water or steam over a period of 14 or more days from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or from within a household appliance, except as specifically provided by this endorsement.

For purposes of this provision, a plumbing system or household appliance does not include a sump, sump pump or related equipment or a roof drain, gutter downspout or similar fixtures or equipment;

Paragraph **A.2.c.(8)(a)** is replaced by the following:

(a) Wear and tear and marring;

Paragraph **A.2.c.(8)(c)** is deleted.

Paragraph **A.2.c.(8)(f)** is replaced by the following:

(f) Settling, shrinking, bulging or expansion, including resultant cracking, of bulkheads, pavements, patios, footings or foundations;

Paragraph **B.12.** is replaced by the following:

12. Accidental Discharge Or Overflow Of Water Or Steam

a. This peril means accidental discharge or overflow of water or steam from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or from within a household appliance.

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b. Except as specifically provided by this endorsement, this peril does not include loss:

(1) To the system or appliance from which the water or steam escaped;

(2) Caused by or resulting from freezing except as provided in Peril Insured Against **14.** Freezing; or

(3) On the Described Location caused by accidental discharge or overflow which occurs off the Described Location.

c. In this peril, a plumbing system or household appliance does not include a sump, sump pump or related equipment or a roof drain, gutter, downspout or similar fixtures or equipment.

d. General Exclusion **A.3. Water,** Paragraphs **a.** and **c.** that apply to surface water and water below the surface of the ground do not apply to loss by water covered under this peril.

Except as stated in this endorsement, we do not provide coverage for any loss precluded by another provision in this Policy.

All other provisions of this Policy apply.

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LIMITED FUNGI OR MICROBES COVERAGE – TEXAS

General Exclusion **10. "Fungi" Or Microbes** (Exclusion **A.10.** in Forms **DP 00 01** and **DP 00 03**) does not apply to the extent coverage is provided by this endorsement.

COVERAGES

Under **F. Other Coverages** (Paragraph **E.** in Form **DP 00 01**), the following coverage is added:

Limited "Fungi" Or Microbes Coverage

a. We will pay for the:

(1) Cost to remove "fungi" or microbes from property covered under Coverages;

(2) Cost to tear out and replace any part of the building or other covered property as needed to gain access to the "fungi" or microbes;

(3) Cost of testing of air or property to confirm the absence, presence or level of "fungi" or microbes whether performed prior to, during or after removal, repair, restoration or replacement. The cost of such testing will be provided only to the extent that there is a reason to believe that there is the presence of "fungi" or microbes; and

(4) Total of all loss payable under Coverage **D** – Fair Rental Value and, if applicable, Coverage **E** – Additional Living Expense, if the "fungi" or microbes make the Described Location not fit to live in.

b. The coverage described in **a.** above only applies when such loss or costs are a result of a Peril Insured Against that occurs during the policy period and only if all reasonable means were used to save and preserve the property from further damage at and after the time the Peril Insured Against occurred.

c. The most we will pay under this additional coverage is the limit of liability shown in the Declarations for Limited “Fungi” or Microbes Coverage.

d. This limit is the most we will pay for the total of all loss or costs payable under this Other Coverage regardless of the:

(1) Number of Perils Insured Against that combine or contribute to the presence of resulting "fungi" or microbes;

(2) Number of locations insured under this endorsement; or

(3) Number of claims made.

e. This additional coverage does not apply to "fungi" or microbes which are the result of constant or repeated seepage or leakage of water or steam or the presence or condensation of humidity, moisture or vapor, over a period of weeks, months or years. However, this coverage would apply if the “fungi” or microbes are located upon the portion of covered property which must be repaired or replaced because of direct physical damage resulting from sudden and accidental discharge or overflow of water which would otherwise be covered under this Policy. For purposes of this exclusion, sudden and accidental shall include a loss event that is hidden or concealed for a period of time until it is detectable. A hidden loss must be reported to us no later than 30 days after the date it was detected or should have been detected.

f. This coverage does not increase the limit of liability applying to the damaged covered property.

CONDITIONS

Condition **Z. Policy Period** is replaced by the following:

Z. Policy Period

The coverage provided under this endorsement applies to loss or costs which occur during the policy period.

(This is Condition **AA.** in Form **DP 00 01.**)

All other provisions of this Policy apply.

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PERSONAL LIABILITY

AGREEMENT

We will provide the insurance described in this Policy in return for the premium and compliance with all applicable provisions of this Policy.

DEFINITIONS

A. In this Policy, "you" and "your" refer to the "named insured" shown in the Declarations and the spouse if a resident of the same household. "We", "us" and "our" refer to the company providing this insurance.

B. In addition, certain words and phrases are defined as follows:

1. "Aircraft liability", "hovercraft liability", "motor vehicle liability" and "watercraft liability", subject to the provisions in **b.** below, mean the following:

a. Liability for "bodily injury" or "property damage" arising out of the:

(1) Ownership of such vehicle or craft by an "insured";

(2) Maintenance, occupancy, operation, use, loading or unloading of such vehicle or craft by any person;

(3) Entrustment of such vehicle or craft by an "insured" to any person;

(4) Failure to supervise or negligent supervision of any person involving such vehicle or craft by an "insured"; or

(5) Vicarious liability, whether or not imposed by law, for the actions of a child or minor involving such vehicle or craft.

b. For the purpose of this definition:

(1) Aircraft means any contrivance used or designed for flight except model or hobby aircraft not used or designed to carry people or cargo;

(2) Hovercraft means a self-propelled motorized ground effect vehicle and includes, but is not limited to, flarecraft and air cushion vehicles;

(3) Watercraft means a craft principally designed to be propelled on or in water by wind, engine power or electric motor; and

(4) Motor vehicle means a "motor vehicle" as defined in **7.** below.

2. "Bodily injury" means bodily harm, sickness or disease, including required care, loss of services and death that results.

3. "Business" means:

a. A trade, profession or occupation engaged in on a full-time, part-time or occasional basis; or

b. Any other activity engaged in for money or other compensation, except the following:

(1) One or more activities, not described in **(2)** through **(4)** below, for which no "insured" receives more than $2,000 in total compensation for the 12 months before the beginning of the policy period;

(2) Volunteer activities for which no money is received other than payment for expenses incurred to perform the activity;

(3) Providing home day care services for which no compensation is received, other than the mutual exchange of such services; or

(4) The rendering of home day care services to a relative of an "insured".

4. "Employee" means an employee of an "insured", or an employee leased to an "insured" by a labor leasing firm under an agreement between an "insured" and the labor leasing firm, whose duties are other than those performed by a "residence employee".

5. "Insured" means:

a. You and residents of your household who are:

(1) Your relatives; or

(2) Other persons under the age of 21 and in your care or the care of a resident of your household who is your relative;

b. A student enrolled in school full time, as defined by the school, who was a resident of your household before moving out to attend school, provided the student is under the age of:

(1) 24 and your relative; or

(2) 21 and in your care or the care of a resident of your household who is your relative;

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c. With respect to animals or watercraft to which this Policy applies, any person or organization legally responsible for these animals or watercraft which are owned by you or any person described in **5.a.** or **b.** "Insured" does not mean a person or organization using or having custody of these animals or watercraft in the course of any "business" or without consent of the owner; or

d. With respect to a "motor vehicle" to which this Policy applies:

(1) Persons while engaged in your employ or that of any person described in **5.a.** or **b.;** or

(2) Other persons using the vehicle on an "insured location" with your consent.

Throughout this Policy, when the word an immediately precedes the word "insured", the words an "insured" together mean one or more "insureds".

6. "Insured location" means:

a. The "residence premises";

b. The part of other premises, other structures and grounds used by you as a residence; and

(1) Which is shown in the Declarations; or

(2) Which is acquired by you during the policy period for your use as a residence;

c. Any premises used by you in connection with a premises described in **a.** and **b.** above;

d. Any part of a premises:

(1) Not owned by an "insured"; and

(2) Where an "insured" is temporarily residing;

e. Vacant land, other than farm land, owned by or rented to an "insured";

f. Land owned by or rented to an "insured" on which a one-, two-, three- or four-family dwelling is being built as a residence for an "insured";

g. Individual or family cemetery plots or burial vaults of an "insured"; or

h. Any part of a premises occasionally rented to an "insured" for other than "business" use.

7. "Motor vehicle" means:

a. A self-propelled land or amphibious vehicle; or

b. Any trailer or semitrailer which is being carried on, towed by or hitched for towing by a vehicle described in **a.** above.

8. "Occurrence" means an accident, including continuous or repeated exposure to substantially the same general harmful conditions, which results, during the policy period, in:

a. "Bodily injury"; or

b. "Property damage".

9. "Property damage" means physical injury to, destruction of, or loss of use of tangible property.

10. "Residence employee" means:

a. An employee of an "insured", or an employee leased to an "insured" by a labor leasing firm, under an agreement between an "insured" and the labor leasing firm, whose duties are related to the maintenance or use of the "residence premises", including household or domestic services; or

b. One who performs similar duties elsewhere not related to the "business" of an "insured".

A "residence employee" does not include a temporary employee who is furnished to an "insured" to substitute for a permanent "residence employee" on leave or to meet seasonal or short-term workload conditions.

11. "Residence premises" means:

a. The one-family dwelling where you reside;

b. The two-, three- or four-family dwelling where you reside in at least one of the family units; or

c. That part of any other building where you reside;

and which is shown as the "residence premises" in the Declarations.

"Residence premises" also includes other structures and grounds at that location.

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LIABILITY COVERAGES

A. Coverage L – Personal Liability

If a claim is made or a suit is brought against an "insured" for damages because of "bodily injury" or "property damage" caused by an "occurrence" to which this coverage applies, we will:

1. Pay up to our limit of liability for the damages for which an "insured" is legally liable. Damages include prejudgment interest awarded against an "insured"; and

2. Provide a defense at our expense by counsel of our choice, even if the suit is groundless, false or fraudulent. We may investigate and settle any claim or suit that we decide is appropriate. Our duty to settle or defend ends when our limit of liability for the "occurrence" has been exhausted by payment of a judgment or settlement.

B. Coverage M – Medical Payments To Others

We will pay the necessary medical expenses that are incurred or medically ascertained within three years from the date of an accident causing "bodily injury". Medical expenses means reasonable charges for medical, surgical, X-ray, dental, ambulance, hospital, professional nursing, prosthetic devices and funeral services. This coverage does not apply to you or regular residents of your household except "residence employees". As to others, this coverage applies only:

1. To a person on the "insured location" with the permission of an "insured"; or

2. To a person off the "insured location", if the "bodily injury":

a. Arises out of a condition on the "insured location" or the ways immediately adjoining;

b. Is caused by the activities of an "insured";

c. Is caused by a "residence employee" in the course of the "residence employee's" employment by an "insured"; or

d. Is caused by an animal owned by or in the care of an "insured".

EXCLUSIONS

A. "Motor Vehicle Liability"

1. Coverages **L** and **M** do not apply to any "motor vehicle liability" if, at the time and place of an "occurrence", the involved "motor vehicle":

a. Is registered for use on public roads or property;

b. Is not registered for use on public roads or property, but such registration is required by a law, or regulation issued by a government agency, for it to be used at the place of the "occurrence"; or

c. Is being:

(1) Operated in, or practicing for, any prearranged or organized race, speed contest or other competition;

(2) Rented to others;

(3) Used to carry persons or cargo for a charge; or

(4) Used for any "business" purpose except for a motorized golf cart while on a golfing facility.

2. If Exclusion **A.1.** does not apply, there is still no coverage for "motor vehicle liability", unless the "motor vehicle" is:

a. In dead storage on an "insured location";

b. Used solely to service a residence;

c. Designed to assist the handicapped and, at the time of an "occurrence", it is:

(1) Being used to assist a handicapped person; or

(2) Parked on an "insured location";

d. Designed for recreational use off public roads and:

(1) Not owned by an "insured"; or

(2) Owned by an "insured" provided the "occurrence" takes place:

(a) On an "insured location" as defined in Definition **B.6.a., b., d., e.** or **h.;** or

(b) Off an "insured location" and the "motor vehicle" is:

(i) Designed as a toy vehicle for use by children under seven years of age;

(ii) Powered by one or more batteries; and

(iii) Not built or modified after manufacture to exceed a speed of five miles per hour on level ground;

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e. A motorized golf cart that is owned by an "insured", designed to carry up to four persons, not built or modified after manufacture to exceed a speed of 25 miles per hour on level ground and, at the time of an "occurrence", is within the legal boundaries of:

(1) A golfing facility and is parked or stored there, or being used by an "insured" to:

(a) Play the game of golf or for other recreational or leisure activity allowed by the facility;

(b) Travel to or from an area where "motor vehicles" or golf carts are parked or stored; or

(c) Cross public roads at designated points to access other parts of the golfing facility; or

(2) A private residential community, including its public roads upon which a motorized golf cart can legally travel, which is subject to the authority of a property owners association and contains an "insured's" residence.

B. "Watercraft Liability"

1. Coverages **L** and **M** do not apply to any "watercraft liability" if, at the time of an "occurrence", the involved watercraft is being:

a. Operated in, or practicing for, any prearranged or organized race, speed contest or other competition. This exclusion does not apply to a sailing vessel or a predicted log cruise;

b. Rented to others;

c. Used to carry persons or cargo for a charge; or

d. Used for any "business" purpose.

2. If Exclusion **B.1.** does not apply, there is still no coverage for "watercraft liability" unless, at the time of the "occurrence", the watercraft:

a. Is stored;

b. Is a sailing vessel, with or without auxiliary power, that is:

(1) Less than 26 feet in overall length; or

(2) 26 feet or more in overall length and not owned by or rented to an "insured"; or

c. Is not a sailing vessel and is powered by:

(1) An inboard or inboard-outdrive engine or motor, including those that power a water jet pump, of:

(a) 50 horsepower or less and not owned by an "insured"; or

(b) More than 50 horsepower and not owned by or rented to an "insured"; or

(2) One or more outboard engines or motors with:

(a) 25 total horsepower or less;

(b) More than 25 horsepower if the outboard engine or motor is not owned by an "insured";

(c) More than 25 horsepower if the outboard engine or motor is owned by an "insured" who acquired it during the policy period; or

(d) More than 25 horsepower if the outboard engine or motor is owned by an "insured" who acquired it before the policy period, but only if:

(i) You declare them at policy inception; or

(ii) Your intent to insure them is reported to us in writing within 45 days after you acquire them.

The coverages in **(c)** and **(d)** above apply for the policy period.

Horsepower means the maximum power rating assigned to the engine or motor by the manufacturer.

C. "Aircraft Liability"

This Policy does not cover "aircraft liability".

D. "Hovercraft Liability"

This Policy does not cover "hovercraft liability".

E. Coverage L – Personal Liability And Coverage M – Medical Payments To Others

Coverages **L** and **M** do not apply to the following:

1. Expected Or Intended Injury

"Bodily injury" or "property damage" which is expected or intended by an "insured", even if the resulting "bodily injury" or "property damage":

a. Is of a different kind, quality or degree than initially expected or intended; or

b. Is sustained by a different person, entity or property than initially expected or intended.

However, this Exclusion **E.1.** does not apply to "bodily injury" or "property damage" resulting from the use of reasonable force by an "insured" to protect persons or property;

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2. "Business"

a. "Bodily injury" or "property damage" arising out of or in connection with a "business" conducted from an "insured location" or engaged in by an "insured", whether or not the "business" is owned or operated by an "insured" or employs an "insured".

This Exclusion **E.2.** applies but is not limited to an act or omission, regardless of its nature or circumstance, involving a service or duty rendered, promised, owed, or implied to be provided because of the nature of the "business".

b. This Exclusion **E.2.** does not apply to:

(1) The rental or holding for rental of an "insured location";

(a) On an occasional basis if used only as a residence;

(b) In part for use only as a residence, unless a single-family unit is intended for use by the occupying family to lodge more than two roomers or boarders; or

(c) In part, as an office, school, studio or private garage; and

(2) An "insured" under the age of 21 years involved in a part-time or occasional, self-employed "business" with no employees;

3. Professional Services

"Bodily injury" or "property damage" arising out of the rendering of or failure to render professional services;

4. "Insured's" Premises Not An "Insured Location"

"Bodily injury" or "property damage" arising out of a premises:

a. Owned by an "insured";

b. Rented to an "insured"; or

c. Rented to others by an "insured";

that is not an "insured location";

5. War

"Bodily injury" or "property damage" caused directly or indirectly by war, including the following and any consequence of any of the following:

a. Undeclared war, civil war, insurrection, rebellion or revolution;

b. Warlike act by a military force or military personnel; or

c. Destruction, seizure or use for a military purpose.

Discharge of a nuclear weapon will be deemed a warlike act even if accidental;

6. Communicable Disease

"Bodily injury" or "property damage" which arises out of the transmission of a communicable disease by an "insured";

7. Sexual Molestation, Corporal Punishment Or Physical Or Mental Abuse

"Bodily injury" or "property damage" arising out of sexual molestation, corporal punishment or physical or mental abuse; or

8. Controlled Substance

"Bodily injury" or "property damage" arising out of the use, sale, manufacture, delivery, transfer or possession by any person of a Controlled Substance as defined by the Federal Food and Drug Law at 21 U.S.C.A. Sections 811 and 812. Controlled Substances include but are not limited to cocaine, LSD, marijuana and all narcotic drugs. However, this exclusion does not apply to the legitimate use of prescription drugs by a person following the lawful orders of a licensed health care professional.

Exclusions **A.** "Motor Vehicle Liability", **B.** "Watercraft Liability", **C.** "Aircraft Liability", **D.** "Hovercraft Liability" and **E.4.** "Insured's" Premises Not An "Insured Location" do not apply to "bodily injury" to a "residence employee" arising out of and in the course of the "residence employee's" employment by an "insured".

F. Coverage L – Personal Liability

Coverage **L** does not apply to:

1. Liability:

a. For any loss assessment charged against you as a member of an association, corporation or community of property owners;

b. Under any contract or agreement entered into by an "insured". However, this exclusion does not apply to written contracts:

(1) That directly relate to the ownership, maintenance or use of an "insured location"; or

(2) Where the liability of others is assumed by you prior to an "occurrence";

unless excluded in **a.** above or elsewhere in this Policy;

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2. "Property damage" to property owned by an "insured". This includes costs or expenses incurred by an "insured" or others to repair, replace, enhance, restore or maintain such property to prevent injury to a person or damage to property of others, whether on or away from an "insured location";

3. "Property damage" to property rented to, occupied or used by or in the care of an "insured". This exclusion does not apply to "property damage" caused by fire, smoke or explosion;

4. "Bodily injury" to any person eligible to receive any benefits voluntarily provided or required to be provided by an "insured" under any:

   a. Workers' compensation law;

   b. Non-occupational disability law; or

   c. Occupational disease law;

5. "Bodily injury" or "property damage" for which an "insured" under this Policy:

   a. Is also an insured under a nuclear energy liability policy issued by the:

      (1) Nuclear Energy Liability Insurance Association;

      (2) Mutual Atomic Energy Liability Underwriters;

      (3) Nuclear Insurance Association of Canada;

      or any of their successors; or

   b. Would be an insured under such a policy but for the exhaustion of its limit of liability; or

6. "Bodily injury" to you or an "insured" as defined under Definition **5.a.** or **b.**

   This exclusion also applies to any claim made or suit brought against you or an "insured" to:

   a. Repay; or

   b. Share damages with;

   another person who may be obligated to pay damages because of "bodily injury" to an "insured".

G. Coverage M – Medical Payments To Others

Coverage **M** does not apply to "bodily injury":

1. To a "residence employee" if the "bodily injury":

   a. Occurs off the "insured location"; and

   b. Does not arise out of or in the course of the "residence employee's" employment by an "insured";

2. To any person eligible to receive benefits voluntarily provided or required to be provided under any:

   a. Workers' compensation law;

   b. Non-occupational disability law; or

   c. Occupational disease law;

3. From any:

   a. Nuclear reaction;

   b. Nuclear radiation; or

   c. Radioactive contamination;

   all whether controlled or uncontrolled or however caused; or

   d. Any consequence of any of these; or

4. To any person, other than a "residence employee" of an "insured", regularly residing on any part of the "insured location".

ADDITIONAL COVERAGES

We cover the following in addition to the limits of liability:

A. Claim Expenses

We pay:

1. Expenses we incur and costs taxed against an "insured" in any suit we defend;

2. Premiums on bonds required in a suit we defend, but not for bond amounts more than the Coverage **L** limit of liability. We need not apply for or furnish any bond;

3. Reasonable expenses incurred by an "insured" at our request, including actual loss of earnings (but not loss of other income) up to $250 per day, for assisting us in the investigation or defense of a claim or suit; and

4. Interest on the entire judgment which accrues after entry of the judgment and before we pay or tender, or deposit in court that part of the judgment which does not exceed the limit of liability that applies.

B. First Aid Expenses

We will pay expenses for first aid to others incurred by an "insured" for "bodily injury" covered under this Policy. We will not pay for first aid to an "insured".

C. Damage To Property Of Others

1. We will pay, at replacement cost, up to $1,000 per "occurrence" for "property damage" to property of others caused by an "insured".

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2. We will not pay for "property damage":
   a. Caused intentionally by an "insured" who is 13 years of age or older;
   b. To property owned by an "insured";
   c. To property owned by or rented to a tenant of an "insured" or a resident in your household; or
   d. Arising out of:
      (1) A "business" engaged in by an "insured";
      (2) Any act or omission in connection with a premises owned, rented or controlled by an "insured", other than the "insured location"; or
      (3) The ownership, maintenance, occupancy, operation, use, loading or unloading of aircraft, hovercraft, watercraft or "motor vehicles".

      This Exclusion **d.(3)** does not apply to a "motor vehicle" that:
         (a) Is designed for recreational use off public roads;
         (b) Is not owned by an "insured"; and
         (c) At the time of the "occurrence", is not required by law, or regulation issued by a government agency, to have been registered for it to be used on public roads or property.

CONDITIONS

A. Limit Of Liability

Our total liability under Coverage **L** for all damages resulting from any one "occurrence" will not be more than the Coverage **L** Limit Of Liability shown in the Declarations. This limit is the same regardless of the number of "insureds", claims made or persons injured. All "bodily injury" and "property damage" resulting from any one accident or from continuous or repeated exposure to substantially the same general harmful conditions shall be considered to be the result of one "occurrence".

Our total liability under Coverage **M** for all medical expense payable for "bodily injury" to one person as the result of one accident will not be more than the Coverage **M** Limit Of Liability shown in the Declarations.

B. Severability Of Insurance

This insurance applies separately to each "insured". This condition will not increase our limit of liability for any one "occurrence".

C. Duties After "Occurrence"

In case of an "occurrence", you or another "insured" will perform the following duties that apply. We have no duty to provide coverage under this Policy if your failure to comply with the following duties is prejudicial to us. You will help us by seeing that these duties are performed:

1. Give written notice to us or our agent as soon as is practical, which sets forth:
   a. The identity of the Policy and the "named insured" shown in the Declarations;
   b. Reasonably available information on the time, place and circumstances of the "occurrence"; and
   c. Names and addresses of any claimants and witnesses;
2. Cooperate with us in the investigation, settlement or defense of any claim or suit;
3. Promptly forward to us every notice, demand, summons or other process relating to the "occurrence";
4. At our request, help us:
   a. To make settlement;
   b. To enforce any right of contribution or indemnity against any person or organization who may be liable to an "insured";
   c. With the conduct of suits and attend hearings and trials; and
   d. To secure and give evidence and obtain the attendance of witnesses;
5. With respect to Paragraph **C.** Damage To Property Of Others under Additional Coverages, submit to us within 60 days after the loss a sworn statement of loss and show the damaged property, if in an "insured's" control;
6. No "insured" shall, except at such "insured's" own cost, voluntarily make payment, assume obligation or incur expense other than for first aid to others at the time of the "bodily injury".

D. Duties Of An Injured Person – Coverage M – Medical Payments To Others

1. The injured person or someone acting for the injured person will:
   a. Give us written proof of claim, under oath if required, as soon as is practical; and
   b. Authorize us to obtain copies of medical reports and records.
2. The injured person will submit to a physical exam by a doctor of our choice when and as often as we reasonably require.

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E. Payment Of Claim – Coverage M – Medical Payments To Others

Payment under this coverage is not an admission of liability by an "insured" or us.

F. Suit Against Us

1. No action can be brought against us unless there has been full compliance with all of the terms under this Policy.
2. No one will have the right to join us as a party to any action against an "insured".
3. Also, no action with respect to Coverage **L** can be brought against us until the obligation of such "insured" has been determined by final judgment or agreement signed by us.

G. Bankruptcy Of An "Insured"

Bankruptcy or insolvency of an "insured" will not relieve us of our obligations under this Policy.

H. Other Insurance

This insurance is excess over other valid and collectible insurance except insurance written specifically to cover as excess over the limits of liability that apply in this Policy.

I. Policy Period

This Policy applies only to "bodily injury" or "property damage" which occurs during the policy period.

J. Subrogation

An "insured" may waive in writing before a loss all rights of recovery against any person. If not waived, we may require an assignment of rights of recovery for a loss to the extent that payment is made by us.

If an assignment is sought, an "insured" must sign and deliver all related papers and cooperate with us.

Subrogation does not apply to Coverage **M** or Paragraph **C.** Damage To Property Of Others under Additional Coverages.

K. Concealment Or Fraud

We do not provide coverage to an "insured" who, whether before or after a loss, has:

1. Intentionally concealed or misrepresented any material fact or circumstance;
2. Engaged in fraudulent conduct; or
3. Made false statements;

relating to this insurance.

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PERSONAL LIABILITY SCHEDULE

This endorsement was made part of policy TXFK91378600 of SureChoice Underwriters Reciprocal Exchange.

The insurance afforded by this endorsement shall apply as indicated below, subject to the terms and conditions of the policy that apply.

Coverages	Limit of Liability	Premium
L - Personal Liability	$ 500,000 each occurance	$ 66
M - Medical Payments	$ 5,000 each person	Included

Other Charges $ 0
Total $ 66

This policy shall not be valid unless countersigned by our authorized agent.

Countersignature Date: 6/4/2025

Agency at:
Cash and Forbes Insurance

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PREMISES LIABILITY

(Non-owner Occupied Dwelling)

SCHEDULE

Location	Number Of Families
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

DEFINITIONS

Definition **6.** "insured location" is extended to include the premises shown in the Schedule above.

LIABILITY COVERAGES

Coverage **L** – Personal Liability and Coverage **M** – Medical Payments To Others are restricted to apply only with respect to "bodily injury" and "property damage" arising out of the:

1. Ownership;

2. Maintenance;

3. Occupancy; or

4. Use;

of the premises shown in the Schedule.

EXCLUSIONS

Exclusion **E.2.** "business" does not apply to the rental or holding for rental of the premises shown in the Schedule.

All other provisions of this Policy apply.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

If:

1. Aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed $100 billion in a calendar year; and

2. We have met our insurer deductible under the Terrorism Risk Insurance Act;

we shall not be liable for the payment of any portion of the amount of such losses that exceeds $100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The federal Terrorism Risk Insurance Act includes the following criteria in a "certified act of terrorism":

1. The act resulted in insured losses in excess of $5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and

2. The act:

a. Is violent or dangerous to:

(1) Human life;

(2) Property; or

(3) Infrastructure; and

b. Is committed by an individual or individuals; and

c. Is part of an effort:

(1) To coerce the civilian population of the United States; or

(2) To influence the policy or affect the conduct of the United States Government by coercion.

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IMPORTANT DEDUCTIBLE INFORMATION– ADVISORY NOTICE

This Notice does not form a part of your insurance contract. No coverage is provided by this Notice, nor can it be construed to replace any provisions of your policy (including its endorsements). If there is any conflict between this Notice and the policy (including its endorsements), **the provisions of the policy (including its endorsements) shall prevail.**

Carefully read your policy, including the endorsements attached to your policy.

The following optional endorsements may provide for automatic increases of your Property Coverages. If you have selected any of these endorsements and your policy also includes a percentage deductible option that applies to these Property Coverages, the amount of your deductible(s) would also increase accordingly by your applicable percentage.

- AUTOMATIC INCREASE IN INSURANCE ENDORESEMENT DP 04 11
- SPECIFIED ADDITIONAL AMOUNTS OF INSURANCE ENDORSEMENT DC2443201

Please review the Forms and Endorsements and Deductible sections of your Declarations to determine if your policy contains any of these endorsements and the deductibles applicable to your policy.

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U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY NOTICE TO POLICYHOLDERS

No coverage is provided by this Policyholder Notice nor can it be construed to replace any provisions of your policy. You should read your policy and review your Declarations page for complete information on the coverages you are provided.

This Notice provides information concerning possible impact on your insurance coverage due to directives issued by OFAC. **Please read this Notice carefully.**

The Office of Foreign Assets Control (OFAC) administers and enforces sanctions policy, based on Presidential declarations of "national emergency". OFAC has identified and listed numerous:

- Foreign agents;
- Front organizations;
- Terrorists;
- Terrorist organizations; and
- Narcotics traffickers;

as "Specially Designated Nationals and Blocked Persons". This list can be located on the United States Treasury's web site – http//www.treas.gov/ofac.

In accordance with OFAC regulations, if it is determined that you or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, as identified by OFAC, this insurance will be considered a blocked or frozen contract and all provisions of this insurance are immediately subject to OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC. Other limitations on the premiums and payments also apply.

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NO COVERAGE FOR HOME DAY CARE BUSINESS ADVISORY NOTICE TO POLICYHOLDERS

CAUTION: This is a summary of the coverage provided in your Personal Liability Policy for Home Day Care services. No coverage is provided by this summary nor can it be construed to replace any provision of your policy. You should read your policy and review your Declarations Page for complete information on the coverage you are provided. If there is any conflict between the Policy and this summary, **THE PROVISIONS OF YOUR POLICY SHALL PREVAIL. PLEASE READ YOUR POLICY CAREFULLY.**

A. "Business", as defined in the Policy, means:

1. A trade, profession or occupation engaged in on a full-time, part-time or occasional basis; or

2. Any other activity engaged in for money or other compensation, except the following:

a. One or more activities:

(1) Not described in **b.** through **d.** below; and

(2) For which no insured receives more than $2,000 in total compensation for the 12 months before the beginning of the policy period;

b. Volunteer activities for which no money is received, other than payment for expenses incurred to perform the activity;

c. Providing home day care services for which no compensation is received, other than the mutual exchange of such services; or

d. The rendering of home day care services to a relative of an insured.

B. If you or any other insured regularly provides home day care services to a person or persons other than you or any other insureds as their trade, profession or occupation, that service is a "business".

C. If home day care service is not your or any other insured's given trade, profession or occupation but is an activity:

1. That you or any other insured engages in for money or other compensation; and

2. From which you or any other insured receives more than $2,000 in total/combined compensation from it and any other activity for the 12 months before the beginning of the policy period;

the home day care service and other activity will be considered a "business".

D. With respect to **C.** above, home day care service is only an example of an activity engaged in for money that may be a "business". Any single activity or combination of activities:

1. Described in **A.2.** above; and

2. Engaged in for money by you or any other insured;

may be considered a "business" if the $2,000 threshold is exceeded.

E. With respect to **A.** through **D.** above, coverage does not apply with respect to home day care service which is a "business". This Policy does not provide coverage because your "business" or the "business" of another insured is excluded under Exclusion **E.2.**

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EXCLUSIONS – ADVISORY NOTICE TO POLICYHOLDERS

This Notice does not form a part of your insurance contract. No coverage is provided by this Notice, nor can it be construed to replace any provisions of your policy (including its endorsements). If there is any conflict between this Notice and the Policy (including its endorsements), **the provisions of the Policy (including its endorsements) shall prevail.**

Carefully read your policy, including the endorsements attached to your policy.

Your policy includes the following exclusions:

1. Pollution Exclusion

There is no coverage under your policy for discharge, dispersal, seepage, migration, release or escape of pollutants unless the discharge, dispersal, seepage, migration, release or escape is itself caused by a Peril Insured Against named under Coverage **C**.

"Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkali, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

Where used in this policy, the term pollutant does not include the following:

a. Loss caused by pollutants that escape from heating and air conditioning systems and appliances (HVAC);

b. Loss caused by common household chemicals used to maintain the residence premises;

c. Loss caused by pollutants released from a hostile fire. A hostile fire is a fire which becomes uncontrollable or breaks out from where it was intended.

2. Escaped Liquid Fuel And Lead Liability Exclusions

There is no Personal Liability and Medical Payments To Others coverage for any "bodily injury" or "property damage":

a. Arising out of, resulting from, caused by or contributed to by the escape or release of fuel from a "fuel system". This exclusion applies, but is not limited to:

(1) Any supervision, instructions, recommendations, warnings or advice given in connection with the above;

(2) Any obligation to share damages, losses, costs, payments or expenses with or repay someone else who must make payment because of such "bodily injury" or "property damage", damages, loss, cost, payment or expense; or

(3) Any request, order or requirement to test for, monitor, abate, mitigate, remediate, contain, remove, dispose of, or in any way respond to or assess the effect of fuel in any form.

However, this exclusion does not apply to "bodily injury" or "property damage" arising out of fire or explosion that results from such escaped or released fuel.

b. Arising out of any loss, cost, payment or expense, including, but not limited to, defense and investigation, of any kind arising out of, resulting from, caused by or contributed to by the actual or alleged presence or actual, alleged or threatened dispersal, release, ingestion, inhalation or absorption of lead, lead pigment, lead compounds or lead in any form which is or was contained or incorporated into any material or substance. This exclusion applies, but is not limited to:

(1) Any supervision, instructions, recommendations, warnings or advice given in connection with the above;

(2) Any obligation to share damages, losses, costs, payments or expenses with or repay someone else who must make payment because of such "bodily injury" or "property damage", damages, loss, cost, payment or expense; or

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(3) Any request, order or requirement to test for, monitor, abate, mitigate, remediate, contain, remove, dispose of, or in any way respond to or assess the effects of lead, lead pigment, lead compounds or materials or substances containing lead in any form.

3. No Water Back Up And Sump Discharge Or Overflow Coverage As A Result Of Flood

If you have purchased the optional Limited Water Back-Up And Sump Discharge Or Overflow Coverage, it does not provide coverage for damage caused by water as a direct or indirect result of flood.

4. Trampoline Liability Exclusion

There is no Personal Liability and Medical Payments To Others coverage for any “bodily injury” or “property damage” arising out of the ownership or use of a trampoline owned by, rented to, loaned to or in the care custody and control of any insured, whether on the residence premises or elsewhere.

For trampolines that qualify, limited coverage options are available for an additional premium.

5. Diving Boards And Slides Exclusion

There is no Personal Liability and Medical Payments To Others coverage for any “bodily injury” or “property damage” arising out of the ownership or use of a diving board or slide on the residence premises that is owned by or rented to or in the care, custody and control of any insured.

For diving boards and slides that qualify, limited coverage options are available for an additional premium.

6. Screened Or Tent Like Structure Exclusion

There is no coverage for a “screened or tent like structure”. A “screened or tent like structure” means any screened, tent or tent like structure, enclosure, awning or shelter, with or without sidewalls or drops, constructed primarily of screening, fabric, canvas, cloth, nylon or other pliable material, whether or not engineered or custom designed or attached to or set apart from any building or structure. Any sides and the roof or ceiling of these structures or enclosures must be primarily constructed of these materials.

For structures that qualify, limited coverage options are available for an additional premium.

7. Animal Liability Exclusions

There is no Personal Liability and Medical Payments To Others coverage for any “bodily injury” or “property damage” arising out of, caused by, or attributable to, whether in whole or in part, for any animal owned or kept by you or any insured whether or not the injury occurred on the “insured premises” or any other location.

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TEXAS FLOOD INSURANCE DISCLOSURE NOTICE

"Flood Insurance: You may also need to consider the purchase of flood insurance. Your insurance policy does not include coverage for damage resulting from a flood even if hurricane winds and rain caused the flood to occur. Without separate flood insurance coverage, you may have uncovered losses caused by a flood. Please discuss the need to purchase separate flood insurance coverage with your insurance agent or insurance company, or visit www.floodsmart.gov."

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USE OF CREDIT INFORMATION DISCLOSURE

Insurer's Name	SureChoice Underwriters Reciprocal Exchange
Address	PO Box 12999, Tallahassee, FL 32317
Telephone Number	(800) 481-0643

We _X_ **will** __ **will not** (choose one) obtain and use credit information on you or any other member(s) of your household as a part of the insurance credit scoring process.

If you have questions regarding this disclosure, contact the insurer at the above address or phone number. For information or other questions, contact the Texas Department of Insurance at 1-800-252-3439 or P.O. Box 149091, MC 104-1A, Austin, Texas 78714.

Section 559.053 of the Texas Insurance Code requires an insurer or its agents to disclose to its customers whether credit information will be obtained on the applicant or insured or on any other member(s) of the applicant's or insured's household and used as part of the insurance credit scoring process.

If credit information is obtained or used on the applicant or insured, or on any member of the applicant's or insured's household, the insurer shall disclose to the applicant the name of each person on whom credit information was obtained or used and how each person's credit information was used to underwrite or rate the policy. An insurer may provide this information with this disclosure or in a separate notice.

Adverse effect means an action taken by an insurer in connection with the underwriting of insurance for a consumer that results in the denial of coverage, the cancellation or nonrenewal of coverage, or the offer to and acceptance by a consumer of a policy form, premium rate, or deductible other than the policy form, premium rate, or deductible for which the consumer specifically applied.

Credit information is any credit related information derived from a credit report itself, or provided in an application for personal insurance. The term does not include information that is not credit-related, regardless of whether the information is contained in a credit report or in an application for insurance coverage or is used to compute a credit score.

Credit score or insurance score is a number or rating derived from a mathematical formula, computer application, model, or other process that is based on credit information and used to predict the future insurance loss exposure of a consumer.

SUMMARY OF CONSUMER PROTECTIONS CONTAINED IN CHAPTER 559

PROHIBITED USE OF CREDIT INFORMATION. *An insurer may not:*
(1) use a credit score that is computed using factors that constitute unfair discrimination;
(2) deny, cancel, or nonrenew a policy of personal insurance solely on the basis of credit information without consideration of any other applicable underwriting factor independent of credit information; or
(3) take an action that results in an adverse effect against a consumer because the consumer does not have a credit card account without consideration of any other applicable factor independent of credit information.

An insurer may not consider an absence of credit information or an inability to determine credit information for an applicant for insurance coverage or insured as a factor in underwriting or rating an insurance policy unless the insurer:
(1) has statistical, actuarial, or reasonable underwriting information that: (A) is reasonably related to actual or anticipated loss experience; and (B) shows that the absence of credit information could result in actual or anticipated loss differences;
(2) treats the consumer as if the applicant for insurance coverage or insured had neutral credit information, as defined by the insurer; or
(3) excludes the use of credit information as a factor in underwriting and uses only other underwriting criteria.

NEGATIVE FACTORS. *An insurer may not use any of the following as a negative factor in any credit scoring methodology or in reviewing credit information to underwrite or rate a policy of personal insurance:*

(1) a credit inquiry that is not initiated by the consumer;

(2) an inquiry relating to insurance coverage, if so identified on a consumers credit report; or

(3) a collection account with a medical industry code, if so identified on the consumers credit report.

Multiple lender inquiries made within 30 days of a prior inquiry if coded by the consumer reporting agency on the consumer's credit report as from the home mortgage or motor vehicle lending industry, shall be considered by an insurer as only one inquiry.

EFFECT OF EXTRAORDINARY EVENTS. *An insurer shall, on written request from an applicant for insurance coverage or an insured, provide reasonable exceptions to the insurers rates, rating classifications, or underwriting rules for a consumer whose credit information has been directly influenced by a catastrophic illness or injury, by the death of a spouse, child, or parent, by temporary loss of employment, by divorce, or by identity theft. In such a case, the insurer may consider only credit information not affected by the event or shall assign a neutral credit score.*

An insurer may require reasonable written and independently verifiable documentation of the event and the effect of the event on the person's credit before granting an exception. An insurer is not required to consider repeated events or events the insurer reconsidered previously as an extraordinary event.

An insurer may also consider granting an exception to an applicant for insurance coverage or an insured for an extraordinary event not listed in this section. An insurer is not out of compliance with any law or rule relating to underwriting, rating, or rate filing as a result of granting an exception under this article.

NOTICE OF ACTION RESULTING IN ADVERSE EFFECT. *If an insurer takes an action resulting in an adverse effect with respect to an applicant for insurance coverage or insured based in whole or in part on information contained in a credit report, the insurer must provide to the applicant or insured within 30 days certain information regarding how an applicant or insured may verify and dispute information contained in a credit report.*

DISPUTE RESOLUTION; ERROR CORRECTION. *If it is determined through the dispute resolution process established under Section 611(a)(5), Fair Credit Reporting Act (15 U.S.C. Section 1681i), as amended, that the credit information of a current insured was inaccurate or incomplete or could not be verified and the insurer receives notice of that determination from the consumer reporting agency or from the insured, the insurer shall re-underwrite and re-rate the insured not later than the 30th day after the date of receipt of the notice.*

After re-underwriting or re-rating the insured, the insurer shall make any adjustments necessary within 30 days, consistent with the insurer's underwriting and rating guidelines. If an insurer determines that the insured has overpaid premium, the insurer shall credit the amount of overpayment. The insurer shall compute the overpayment back to the shorter of the last 12 months of coverage; or the actual policy period.

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NOTICE OF ADVERSE ACTION

Thank you for trusting SureChoice Underwriters Reciprocal Exchange as your insurance company. We are committed to your satisfaction and providing you with a competitive rate. Many factors are taken into account to rate insurance, including a credit-based insurance score, which was determined based on data from the reporting agency(ies) listed below. When we last received this data to help price your policy, you did not receive our lowest rate. You did receive a competitive and accurate price reflecting your individual characteristics. To see more detail, please see below.

The consumer reporting agency(ies) contact information is:
Insurance Score (Credit History) Information:
TransUnion Corporation - Consumer Relations
2 Baldwin Place, P.O. Box 1000
Chester, PA 19022
1-800-888-4213 www.transunion.com/direct

Policy Servicing Company:

SageSure Insurance Managers, LLC
PO Box 12999
Tallahassee, FL 32317
(800) 481-0643
customercare@sagesure.com

Remember:

- You have a right to obtain a free copy of the consumer report from the agency(ies) listed above. You may do so by contacting the agency within 60 days of receiving this notice.

- You also have the right to dispute with the consumer reporting agency the accuracy or completeness of any information in a consumer report furnished by the agency(ies). You should contact the agency to discuss any information in the report.

- The consumer reporting agency(ies) did not make the pricing determination and cannot answer any questions regarding your policy.

The following reason(s) were provided by the consumer reporting agency listed above. Please note that this information does not necessarily reflect a poor or below average credit standing.

AUBREY MAHLOW - Total monthly payment due is $4,000 or more. Consumers with with less than or equal to $100 due monthly show lower risk.

AUBREY MAHLOW - Credit card utilization over the past 12 months has not been steady. Consumers with steady monthly utilization show lower risk.

AUBREY MAHLOW - Average age of accounts reported in the last 5 years is less than 10 years. Consumers having accounts with average age of 14 years or more show lower risk.

AUBREY MAHLOW - There are 4 to 5 bank revolving accounts. Consumers with 1 to 3 show lower risk.

Co-Applicant - Average age of accounts reported in the last 5 years is less than 10 years. Consumers having accounts with average age of 14 years or more show lower risk.

Co-Applicant - A mortgage has not been opened in the last 12 months. Consumers having a recent mortgage opened show lower risk.

Co-Applicant - There are 6 to 10 bank revolving accounts. Consumers with 1 to 3 show lower risk.

Co-Applicant - Number of inquiries is 2 to 5. Consumers with no inquiries show lower risk.

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Consumer Complaint Notice

Have a complaint or need help?

If you have a problem with a claim or your premium, call your insurance company or HMO first. If you can't work out the issue, the Texas Department of Insurance may be able to help.

Even if you file a complaint with the Texas Department of Insurance, you should also file a complaint or appeal through your insurance company or HMO. If you don't, you may lose your right to appeal.

SureChoice Underwriters Reciprocal Exchange

To get information or file a complaint with your insurance company or HMO:

Call: SureChoice Underwriters Reciprocal Exchange

Toll-free: (800) 481-0661

Email: CustomerCare@SageSure.com

Mail: PO Box 12999, Tallahassee, FL 32317

The Texas Department of Insurance

To get help with an insurance question or file a complaint with the state:

Call: 1-800-252-3439

Online: www.tdi.texas.gov

Email: ConsumerProtection@tdi.texas.gov

Mail: MC 111-1A, P.O. Box 12030, Austin, TX 78711-2030

¿Tiene una queja o necesita ayuda?

Si tiene un problema con una reclamación o con su prima de seguro, llame primero a su compañía de seguros o HMO. Si no puede resolver el problema, es posible que el Departamento de Seguros de Texas (Texas Department of Insurance, por su nombre en inglés) pueda ayudar.

Aun si usted presenta una queja ante el Departamento de Seguros de Texas, también debe presentar una queja a través del proceso de quejas o de apelaciones de su compañía de seguros o HMO. Si no lo hace, podría perder su derecho para apelar.

SureChoice Underwriters Reciprocal Exchange

Para obtener información o para presentar una queja ante su compañía de seguros o HMO:

Llame a: SureChoice Underwriters Reciprocal Exchange

Teléfono gratuito: (800) 481-0661

Correo electrónico: CustomerCare@SageSure.com

Dirección postal: PO Box 12999, Tallahassee, FL 32317

El Departamento de Seguros de Texas

Para obtener ayuda con una pregunta relacionada con los seguros o para presentar una queja ante el estado:

Llame: 1-800-252-3439

En línea: www.tdi.texas.gov

Correo electrónico: ConsumerProtection@tdi.texas.gov

Dirección postal:

MC 111-1A, P.O. Box 12030, Austin, TX 78711-2030

TEXAS PERIOD TO FILE A CLAIM OR BRING LEGAL ACTION AGAINST US NOTICE – WINDSTORM OR HAIL – CATASTROPHE AREA

This Notice does not form a part of your insurance contract. No coverage is provided by this Notice, nor can it be construed to replace any provisions of your policy (including its endorsements). If there is any conflict between this Notice and the policy (including its endorsements), **the provisions of the policy (including its endorsements) shall prevail.**

Carefully read your policy, including the endorsements attached to your policy.

In accordance with Texas Insurance Code Section 2301.010(f), we are notifying you that:

1. With respect to loss or damage in the State of Texas caused by windstorm or hail in the catastrophe area, as defined by the Texas Insurance Code, any claim must be filed with us not later than one year after the date of the loss or damage that is the subject of the claim, except that a claim may be filed after the first anniversary of the date of the loss or damage for good cause shown by the person filing the claim; and
2. Any legal action brought against us under the policy for loss or damage in the State of Texas caused by windstorm or hail in the catastrophe area, as defined by the Texas Insurance Code, must be brought within the earlier of the following:
   a. Two years and one day from the date we accept or reject the claim; or
   b. Three years and one day from the date of the loss or damage that is the subject of the claim.

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INSURANCE WEBSITE NOTICE

To obtain price and policy form comparisons and other information relating to residential property insurance and personal automobile insurance, you may visit the Texas Department of Insurance/Office of Public Insurance Counsel website: **www.helpinsure.com**.

ANUNCIO DEL SITIO WEB DE SEGUROS

Para obtener formas de comparación de precios y póliza y otra información acerca del seguro de propiedad residencial y del seguro de automóvil, visite el sitio web del Departamento de Seguros de Texas y la Oficina del Asesor Público de Seguros: **www.helpinsure.com.**

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Figure 1: 28 TAC §5.9971(b)

CONSUMER BILL OF RIGHTS

Homeowners, Dwelling, and Renters Insurance

What is the Bill of Rights?

It is a basic outline of important rights you have under Texas law. Insurance companies must give you this Bill of Rights with your policy. It is important to read and understand your policy.

The Bill of Rights is not:

- A complete list of all your rights,
- Part of your policy, or
- A list of everything that you are responsible for.

Questions about these rights?

- If you are not sure about anything in your policy, ask your agent or insurance company.
- If you have questions or a complaint, contact the Texas Department of Insurance (TDI) at:

  Call with a question: 1-800-252-3439
  Email with a question: ConsumerProtection@tdi.texas.gov
  File a complaint through the website:
  www.tdi.texas.gov/consumer/get-help-with-an-insurance-complaint.html

- To learn more about insurance, visit www.opic.texas.gov or call the Office of Public Insurance Counsel (OPIC) at 1-877-611-6742.

AVISO: Este documento es un resumen de sus derechos como asegurado. Tiene derecho a llamar a su compañía de seguros y obtener una copia de estos derechos en español. Además, puede ser que su compañía de seguros tenga disponible una versión de su póliza en español.

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Where to Get Information

1. **Your insurance company.** When you get a copy of your policy you will also get an "Important Notice" from the company. The notice explains how to contact your company and how to file a complaint. You may request a complete copy of your policy from your company at any time.

2. **Your declarations page.** The declarations page, also called the "dec page," shows: (a) the name and address of your insurance company, (b) the location of the insured property, (c) the dates your policy is in effect, and (d) the amounts and types of coverage.

   Your company must list the exact dollar amount of each deductible in your policy. The declarations page, or a separate page, must also list any part of your policy that changes any deductible amount.

3. **The Texas Department of Insurance (TDI).** You have the right to call TDI for free at 1-800-252-3439 for information and help with a complaint against an insurer. You can also find information on the TDI website at www.tdi.texas.gov.

4. **Resources for shopping for insurance.** The Office of Public Insurance Counsel (OPIC) and TDI developed www.HelpInsure.com to help you compare rates and coverages for different insurance companies. OPIC also has an online tool to help you compare policies. You can find this policy comparison tool at www.opic.texas.gov.

What You Should Know When You File a Claim

5. **Deadlines for processing claims and payments for your damages.** You should file your claim with your insurance company as soon as possible. When you file a claim for your damages on your own policy, the insurance company must meet these deadlines:

   - **Within 15 days after you file a claim:** The company must let you know they received your claim. The company must also start their investigation and ask you for any other information they need.
   - **Within 15 business days after they get all the information they need:** The company must approve or deny your claim in writing. They can extend this deadline up to **45 days** from the date they: (a) let you know they need more time, and (b) tell you why.
   - **Within 5 business days after they let you know your claim is approved**: The company must pay the claim.

   Note: TDI can extend these deadlines by 15 more days if there is a weather-related catastrophe.

   If your company fails to meet these deadlines, you may be able to collect the claim amount, interest, and attorney's fees.

6. **Written explanation of claim denial.** Your insurance company must tell you in writing why your claim or part of your claim was denied.

7. **Reasonable investigation.** Your insurance company cannot refuse to pay your claim without a reasonable investigation of the claim. You should keep records of all claim communications (including notes from phone calls) and other claim documentation (including damage estimates and receipts).

8. **Information not required for processing your claim.** Your insurance company can only ask for information reasonably needed for their claim investigation. However, they cannot ask for your federal income tax returns unless: (a) they get a court order, or (b) your claim involves a fire loss, loss of profits, or lost income.
9. **Right to contract with a public insurance adjuster.** Your insurer cannot include a provision in your policy that prohibits you from contracting with a licensed public insurance adjuster to act on your behalf in negotiating for or effecting the settlement of a claim.
10. **Release of claim payments from lenders.** Often an insurance company will make a claim payment to you and your lender. If your lender gets the payment:
    - **No later than 10 days after receiving it they must:** (a) notify you, and (b) tell you what you must do so the money can be released.
    - **No later than 10 days after you ask for the money, they must:** (a) send the money to you, or (b) tell you how to get the money released.

    If your lender does not: (a) provide the notices mentioned above, or (b) pay the money after all the requirements have been met, the lender must pay you interest on the money.

11. **Notice of liability claim settlement.** Liability means you are responsible for other people's injuries or damage to their property. Your insurance company must let you know in writing:
    - About the first offer to settle a claim against you within **10 days** after the offer is made.
    - About any claim settled against you within **30 days** after the date of the settlement.

Who to Contact for Claim Disagreements

12. **Claim disagreements.** You can dispute the amount of your claim payment or what is covered under your policy. You can:
    - Contact your insurance company.
    - Contact an attorney to advise you of your rights under the law. The State Bar of Texas can help you find an attorney.
    - Pay a licensed public adjuster to review the damage and handle the claim.
    - File a complaint with TDI.

What You Should Know about Renewal, Cancellation, and Nonrenewal

Renewal means that your insurance company is extending your policy for another term.

Cancellation means that, **before the end of the policy period**, the insurance company:

- Terminates the policy;
- Gives you less coverage or limits your coverage; or
- Refuses to give additional coverage that you are entitled to under the policy.

"**Refusal to renew**" and "**nonrenewal**" are terms that mean your coverage ends **at the end of the policy period**. The policy period is shown on the declarations page of your policy.

13. **Notice of premium increase.** If your insurance company plans to increase your premium by 10% or more on renewal, your company must send you notice of the rate increase at least **30 days** before your renewal date.

14. **Insurance company cancellation of homeowners policies.** If your homeowners policy has been in effect for **60 days or more**, your company can only cancel your policy if:

    - You don't pay your premium when it is due;
    - You file a fraudulent claim;
    - There is an increase in the risk covered by the policy that is: (a) within your control, and (b) would make your premium go up; or
    - TDI decides that keeping the policy violates the law.

    If your policy has been in effect for **less than 60 days**, your company can only cancel your policy if:

    - One of the reasons listed above applies;
    - They reject a required inspection report within **10 days** after getting the report. The report must be done by a licensed or authorized inspector and cannot be more than 90 days old; or
    - They find something that creates an increase in risk that you did not include in your application and is not related to a prior claim.

15. **Insurance company cancellation of other residential property policies.** After your policy has been in effect for **90 days**, your company can only cancel your policy if:

    - You don't pay your premium when it is due;
    - You file a fraudulent claim;
    - There is an increase in the risk covered by the policy that is: (a) within your control, and (b) would make your premium go up; or
    - TDI decides that keeping the policy violates the law.

16. **Notice of cancellation.** If your insurance company cancels your policy, they must let you know by mail at least **10 days** before the effective date of the cancellation. Check your policy because your company may give you more than 10 days' notice.

17. **Your right to cancel.** You can cancel your policy at any time and get a refund of the unearned premium.

18. **Refund of premium.** If you or your insurance company cancel your policy, the company must refund any unearned premium within 15 business days from:

    - the date the company receives notice of the cancellation; or
    - the date of cancellation, whichever is later.

    You must let your company know you want the refund sent to you. If not, they may refund the remaining premium by giving you a premium credit on the same policy.

19. **Limits on using claims history for nonrenewal.** Your insurance company cannot refuse to renew your policy based on claims for damage from natural causes, including weather-related damage, or claims that are filed but not paid or payable under the policy.

    Appliance-related water damage claims. Your insurance company cannot refuse to renew your policy based on an appliance-related water damage claim if:

    - The damage has been properly repaired or remediated; and

- The repair or remediation was inspected and certified.

However, your insurance company may refuse to renew your policy based on appliance-related water damage claims if:

- Three or more claims were filed and paid (including a claim filed by a prior owner on your property); or

  You (a) file 2 claims within a three-year period; and (b) after the second claim, your company gives you written notice that filing a third appliance-related claim could result in your policy not being renewed; and
- You file a third claim.

Claims other than appliance-related water damage claims. Your insurance company cannot refuse to renew your policy based on other claims unless:

- You (a) file 2 claims within a three-year period; and (b) after the second claim, your company gives you written notice that filing a third claim could result in your policy not being renewed; and
- You file a third claim.

20. **Limits on using claims history to increase premium.** Your insurance company cannot increase your premium based on claims for damage from natural causes, including weather-related damage, or claims that are filed but not paid or payable under your policy.

    Appliance-related water damage claims. Your company cannot increase your premium based on a prior appliance-related water damage claim if:

    - The damage has been properly repaired or remediated; and
    - The repair or remediation was inspected and certified.

    However, your insurance company may increase your premium based on prior appliance-related water damage claims if:

    - Three or more claims were filed and paid (including a claim filed by a prior owner on your property).

    Claims other than appliance-related water damage claims. Your insurance company cannot increase your premium based on other claims unless:

    - You file 2 or more claims within a three-year period.

21. **Right to ask questions.** You can ask your insurance company a question about your policy. They cannot use your questions to deny, nonrenew, or cancel your coverage. Your questions also cannot be used to determine your premium.

    For example, you may ask:

    - General questions about your policy;
    - Questions about the company's claims filing process; and
    - Questions about whether the policy will cover a loss, unless the question is about damage: (a) that occurred, and (b) that results in an investigation or claim.

22. **Limit on using credit information to nonrenew your policy.** An insurance company cannot refuse to renew your policy solely because of your credit.

23. **Protections from discrimination.** An insurance company cannot refuse to insure you; limit the coverage you buy; refuse to renew your policy; or charge you a different rate based on your race, color, creed,

country of origin, or religion.

24. **Protection for low-value property.** An insurance company cannot refuse to renew your policy because the property value is low.

25. **Protection for older houses.** An insurance company cannot refuse to renew your policy based on the age of your property. However, they can refuse to renew your policy based on the condition of your property, including your plumbing, heating, air conditioning, wiring, or roof.

26. **Notice of nonrenewal.** Your insurance company must send you a notice that they are not renewing your policy. They must let you know at least **60 days** before your policy expires, or you can require them to renew your policy.

27. **Notice of a "material change" to your policy.** If your insurance company does not want to cancel or nonrenew your policy, but wants to make certain material changes, then they must explain the changes in writing at least **30 days** before the renewal date. Material changes include:

    - Giving you less coverage;
    - Changing a condition of coverage; or
    - Changing what you are required to do.

    Instead of a notice of "material change" a company may choose to not renew your existing policy. If so, the company has to send a nonrenewal letter, but may still offer you a different policy.

    Note: A company cannot reduce coverage during the policy period unless you ask for the change. If you ask for the change, the company does not have to send you a notice.

28. **Written explanation of cancellation or nonrenewal.** You can ask your insurance company to tell you in writing the reasons for their decision to cancel or not renew your policy. The company must explain in detail why they cancelled or nonrenewed your policy.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COSMETIC MARRING EXCLUSION/LIMITATION – HAIL - TEXAS

DEFINITIONS

The following definitions are added:

"Cosmetic marring" means any disfigurement, blemish, discoloration, weathering or stretching, or the like, that only alters the physical appearance of property. "Cosmetic marring" also includes but is not limited to scratching, chipping, denting, fading, nicking, oxidizing, scoring, scraping or scuffing of the property, whether occurring immediately or over time. "Cosmetic marring" does not include actual physical injury to or destruction of property, which injury or destruction causes actual functional impairment of the property whether occurring immediately or over time.

"Roof covering" means:

a. Shingles or tiles;
b. Cladding;
c. Vents or vent covers; or
d. Metal or synthetic sheeting or similar materials,

installed on or covering a roof. "Roof covering" includes all materials used in securing the roof surface and all materials applied to or under the roof surface for moisture protection, including flashing. "Roof covering" does not include solar panels.

"Exterior surfaces" means material(s) used to surface the exterior of a building to protect against exposure to the elements. "Exterior surfaces" includes but is not limited to siding and brick. "Exterior surfaces" does not include windows, doors and "roof covering".

GENERAL EXCLUSIONS

The following exclusion is added to Paragraph **A**:

Cosmetic Marring

"Cosmetic marring" to "roof covering" and gutters, including downspouts resulting from hail.

CONDITIONS

E. Loss Settlement

The following paragraph is added:

When damage to "exterior surfaces" from hail consists only of "cosmetic marring", we will pay the lesser of the following amounts:

1. The cost of repairing or replacing the damaged portion of the property; or
2. 2% of the limit of insurance applicable to the property.

The following is an example of how the deductible described in Paragraph **B.** will apply:

1. Coverage A:	**$500,000**
2. Windstorm or Hail Deductible:	1%
3. Dollar amount of Windstorm or Hail Deductible:	$500,000 x .01 = **$5,000**
4. Amount of cosmetic marring loss to siding:	**$20,000**
5. Limit of Coverage:(2% of Coverage A):	$500,000 x .02 = **$10,000**
6. Total amount of coverage (lesser of **4.** or **5.**):	**$10,000**
7. Amount recoverable provided by this Endorsement:	$10,000 - $5,000 = **$5,000**

All other provisions of your policy apply.

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COSMETIC MARRING EXCLUSION/LIMITATION - TEXAS – ADVISORY NOTICE TO POLICYHOLDERS

This Notice does not form a part of your insurance contract. No coverage is provided by this Notice, nor can it be construed to replace any provisions of your policy (including its endorsements). If there is any conflict between this Notice and the Policy (including its endorsements), **the provisions of the Policy (including its endorsements) shall prevail.**

Carefully read your policy, including the endorsements attached to your policy.

Your policy includes the following exclusion/limitation:

- We do not cover “cosmetic marring” to “roof covering” and gutters, including downspouts resulting from hail.
- When damage to “exterior surfaces” from hail consists only of “cosmetic marring”, we will only pay the lesser of the following amounts:
  - The cost of repairing or replacing the damaged portion of the property; or
  - 2% of the limit of insurance applicable to the property.

Please refer to Endorsement **DCTX213F01** - **COSMETIC MARRING LIMITATION – HAIL – TEXAS**, which is attached to your Policy for further details.

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This PRIVACY NOTICE of SageSure Insurance Managers LLC (collectively, "SageSure," "we," "us," or "our") and applies to visitors, users, customers, consumers, and others ("consumers" or "you"). It explains how we collect, use, protect, and share your personal information and your rights under the privacy laws of your state, and other applicable privacy laws and regulations.

CATEGORIES OF PERSONAL INFORMATION WE COLLECT

We collect the following categories of personal information from or about our consumers, each of which are "personal information" as used herein:

- Identifiers and personal information categories (e.g., name, date of birth, mailing address, phone number, email address, internet protocol address, Social Security number, insurance policy number, driver's license number, bank account number and other payment information, financial history, marital status).
- Protected classification characteristics (e.g., age and marital status).
- Commercial information (e.g., records of personal property, payment history, claims history, other payment or financial information, products or services purchased, obtained, or considered, or other purchasing or consuming histories or tendencies).
- Internet or other electronic network activity information regarding your interaction with our website (e.g., browsing history, cookies, search history, information on a consumer's interaction with a website, application, or advertisement).
- **Sensitive Personal Information**: We collect the following information, which is considered to be "sensitive" personal information: social security number, driver's license number, bank account number(s), and marital status.

SOURCES OF INFORMATION

We obtain the categories of personal information listed above from the following categories of sources:

- **Directly from our consumers.** For example, we collect the information that you provide (or someone else who provides it on your behalf) when you fill out online applications, or other forms, and when you submit questions or comments online or by email or by text messages.
- **Directly and indirectly from activity on our website.** For example, we collect information from submissions through our website portal and website usage details collected automatically through cookies and other similar tracking technologies.
- **From consumer reporting agencies, public records and data collection agencies.** For example, we collect information regarding your obligations with others, your creditworthiness, loss history, and claims data from these sources.
- **From transactions with SageSure or other nonaffiliated parties.** For example, we collect information, such as your name, address, availability of funds, insurance coverage, transaction history, claims history and premiums, from these sources.

PURPOSES AND USE OF COLLECTED PERSONAL INFORMATION

We may use or disclose the personal information, including certain sensitive personal information, we collect for one or more of the following business purposes:

- To fulfill or meet the reason for which the information is provided.
- To provide you with information, products or services that you request from us.
- To maintain or service consumer accounts and to provide customer service.
- To provide you with email alerts, text message alerts, event registrations and other notices concerning our products or services, or events or news, that may be of interest to you.
- To carry out our obligations and enforce our rights arising from any contracts entered into between you and us.
- Improve, market or promote products and services to you.
- Compile, synthesize, generate and analyze anonymous usage and other aggregated information.
- To improve user experience by making our website easier to use and navigate.
- To evaluate or conduct a business combination, such as a merger or sale.
- As necessary or appropriate to protect the rights, property or safety of us, our clients or others.
- To respond to law enforcement requests and as required by applicable law, court order, or governmental regulations.
- As described to you when collecting your personal information.

We will not collect additional categories of personal information or use the personal information we collected for materially different, unrelated, or incompatible purposes without providing you advance notice and obtaining your consent.

SHARING PERSONAL INFORMATION

We may disclose your personal information, including certain sensitive personal information, to a third party for a business purpose, as described above. As permitted by applicable law, we may share the following categories of personal information with a third party for a business purpose:

- Identifiers and personal information categories (e.g., name, date of birth, mailing address, phone number, email address, Internet Protocol address, Social Security number, insurance policy number, bank account number and other payment information, financial history, marital status)

- Protected classification characteristics (e.g., age, marital status)
- Commercial information (e.g., records of personal property, products or services purchased, obtained, or considered, or other purchasing or consuming histories or tendencies)
- Internet or other electronic network activity information (e.g., browsing history, search history, information on a consumer's interaction with a website, application, or advertisement)
- We may also disclose aggregated information about our users, and information that does not identify any individual, without restriction.

We may, as allowed by law, disclose your personal information, including certain sensitive personal information, for a business purpose to the following categories of third parties:

- Third parties that use your personal information to process payments, validate your credit and loss history, and provide other similar services on our behalf.
- Other insurance institutions, financial institutions, reinsurers, insurance producers, or consumer reporting agencies as needed in connection with any insurance application, policy or claim involving you.
- Third parties that conduct research, including actuarial or underwriting studies.
- Adjusters, appraisers, auditors, investigators and attorneys.
- Third parties that may explore certain transactions with SageSure, such as certain investments, loan transactions, and mergers and acquisitions of portions or all of our business.
- Third parties who perform business, professional or insurance functions for SageSure including service providers, agents or independent contractors.
- To our subsidiaries and affiliated companies.
- We may disclose your personal information to law enforcement, government agencies, and other related third parties, in order to comply with the law, enforce our policies, or protect our or others' rights, property, or safety.

WE DO NOT SELL ANY PERSONAL INFORMATION OF CURRENT OR FORMER CONSUMERS.

Third-Party Cookies and Links

Some content or applications, including advertisements, on the Website are served by third parties, including advertisers, ad networks and servers, content providers, and application providers. These third parties may use cookies alone or in conjunction with web beacons or other tracking technologies to collect information about you when you use our website. The information they collect may be associated with your personal information or they may collect information, including personal information, about your online activities over time and across different websites and other online services. They may use this information to provide you with interest-based (behavioral) advertising or other targeted content. We do not control these third parties' tracking technologies or how they may be used. If you have any questions about an advertisement or other targeted content, you should contact the responsible provider directly.
Our website contains links to other sites. SageSure is not responsible for the privacy practices or content of such other sites. If you have any questions about how these other sites use your information, you should review their policies and contact them directly.

HOW SAGESURE RESPONDS TO DO-NOT-TRACK SIGNALS

Certain state law requires commercial website owners and operators to disclose how their website responds to web browser "do not track" signals. If you have enabled your browser for that purpose, at this time, we do not honor "do not track" requests or change our services or information practices in any way as a result of receiving "do not track" requests from your browser.

COLLECTION AND USE OF INFORMATION FROM CHILDREN

NOTICE TO CHILDREN UNDER THE AGE OF 13 AND THEIR PARENTS OR LEGAL GUARDIANS: ELEVATE DOES NOT KNOWINGLY COLLECT PERSONAL INFORMATION FROM CHILDREN UNDER THE AGE OF 13 AND CHILDREN UNDER THE AGE OF 13 ARE SPECIFICALLY PROHIBITED FROM SUBMITTING ANY PERSONAL INFORMATION ON THE WEBSITES. IF YOU ARE UNDER THE AGE OF 13, DO NOT SEND ELEVATE ANY PERSONAL INFORMATION INCLUDING WITHOUT LIMITATION YOUR EMAIL ADDRESS, NAME AND/OR CONTACT INFORMATION. IF WE LEARN WE HAVE COLLECTED OR RECEIVED PERSONAL INFORMATION FROM A CHILD UNDER 13 WITHOUT VERIFICATION OF PARENTAL CONSENT, WE WILL DELETE THAT INFORMATION. IF YOU BELIEVE WE MIGHT HAVE ANY INFORMATION FROM OR ABOUT A CHILD UNDER 13, PLEASE CONTACT US AT **www.sagesure.com/contactus/.**

YOUR RIGHTS

You have the following rights with respect to your personal information:

- **Right to Know:** You have the right to request that we disclose certain information to you about our collection, use, and disclosure of your personal information over the past twelve (12) months. Once we receive and confirm your request, we will disclose the following to you:
    - The categories of personal information we collected about you.
    - The categories of sources for the personal information we collected about you.

  - Our business or commercial purpose for collecting that personal information.
  - The categories of third parties with whom we share that personal information and the categories of personal information shared with those third parties.
  - The specific pieces of personal information we collected about you.
  - The name and address of any consumer credit reporting agency that prepared a report about you so that you can contact them for a copy.
- **Right to Opt-Out:** You have the right to opt-out of sharing of your information with third parties, subject to certain exceptions for SageSure to provide you products and services.
- **Right to Correction:** You have the right to request correction of any inaccurate personal information.
- **Right to Request Deletion:** You have the right to request that we delete your personal information that we have collected about you. We may deny your deletion request if retaining the information is necessary for us to: complete the transaction for which we collected the personal information; provide a good or service that you requested; take actions reasonably anticipated within the context of our ongoing business relationship with you, or otherwise perform our contract with you; detect security incidents, protect against malicious, deceptive, fraudulent, or illegal activity, or prosecute those responsible for such activities; debug products to identify and repair errors that impair existing intended functionality; exercise free speech, ensure the right of another consumer to exercise their free speech rights, or exercise another right provided for by law; engage in public or peer-reviewed scientific, historical, or statistical research in the public interest that adheres to all other applicable ethics and privacy laws, when the information's deletion may likely render impossible or seriously impair the research's achievement, if you previously provided informed consent; enable solely internal uses that are reasonably aligned with consumer expectations based on your relationship with us; comply with a legal obligation; or make other internal and lawful uses of that information that are compatible with the context in which you provided it. We will delete or deidentify personal information not subject to 6 one of these exceptions from our records and will direct our service providers to take similar action.
- **Right to Non-Discrimination:** We will not discriminate against you because you exercise your rights. For example, we will not deny you goods or services or charge you a different price or rate for goods or services if you make an access or deletion request.

EXERCISING YOUR RIGHTS

To exercise the rights described above, please submit your request to us by either:

- Calling us at **1-800-481-0661**; or
- Emailing us at **policyrecordsrequest@sagesure.com**

Only you, or a person legally authorized to act on your behalf, may submit a request related to your personal information. You may also submit a request on behalf of your minor child. You may only make a request for information twice within a 12-month period. We will not charge a fee to respond to your request. Any such inquiry will be responded to within thirty-day (30) days. We must verify your identity with respect to such inquiries. Depending on the nature of the Personal Information at issue, we may require additional measures or information from you as part of that verification.

You will be asked to provide your name, insured property address, and date of birth when making the request.

SECURITY

SageSure maintains reasonable administrative, technical and physical security measures designed to protect the security of your personal information. We have implemented measures designed to secure your personal information from accidental loss and from unauthorized access, use, alteration, and disclosure. All information you provide to us is stored on our secure servers behind firewalls. Unfortunately, the transmission of information via the internet is not completely secure. Although we do our best to protect your personal information, we cannot guarantee the security of your personal information transmitted over the Internet. Any transmission of personal information is at your own risk. We are not responsible for circumvention of any privacy settings or security measures contained on the Website. No security system is impenetrable, and SAGESURE cannot guarantee the security of this website, nor that the information you supply will not be intercepted while being transmitted over the Internet. By using the services or providing personal information to us, you agree that we can communicate with you electronically regarding security, privacy, and administrative issues relating to your use of the services, including providing you any notice or notification related to same as required under state law.

DATA RETENTION

We will retain your personal information for the time period necessary to fulfill the purposes described in our Privacy Policy. Under our record retention policy, we destroy personal information after our need for it ends, which is defined in that policy according to specific retention periods. However, we may have a further need to hold personal information beyond our record retention policy periods due to regulatory requirements or in response to a regulatory audit, investigation, or other legal matter.

FOR MORE INFORMATION

If you have any questions regarding this Privacy Notice, please visit us at www.sagesure.com/contact-us/.

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SURE Privacy Policy Notice

Last modified October 10, 2024

This Privacy Policy of SureChoice Underwriters Reciprocal Exchange (collectively, "SURE," "we," "us," or "our") and applies to customers and consumers, (collectively, "consumers" or "you"). This Privacy Policy describes the types of information we may collect from you and our practices for collecting, using, maintaining, protecting, and disclosing that information.

Categories of Personal Information We Collect

We collect the following categories of information from or about our consumers, each of which are "personal information" as used herein:

- Identifiers and personal information categories (e.g., name, date of birth, mailing address, phone number, email address, internet protocol address, Social Security number, insurance policy number, driver's license number, bank account number and other payment information, financial history, marital status).
- Protected classification characteristics (e.g., age and marital status).
- Commercial information (e.g., records of personal property, payment history, claims history, other payment or financial information, products or services purchased, obtained, or considered, or other purchasing or consuming histories or tendencies).
- Internet or other electronic network activity information regarding your interaction with our website (e.g., browsing history, cookies, search history, information on a consumer's interaction with a website, application, or advertisement).
- **Sensitive Personal Information**: We collect the following information, which may be categorized in your state as "sensitive" personal information: social security number, driver's license number, bank account number(s), and marital status.

Sources of Information

We obtain the categories of personal information listed above from the following categories of sources:

- **Directly from you.** For example, we collect the information that you provide (or that someone else provides on your behalf) when you fill out online applications, or other forms, and when you submit questions or comments online or by email or by text messages.
- **Directly and indirectly from your activity on our website.** For example, we collect information from your submissions through our website portal and website usage details collected automatically through cookies and other similar tracking technologies. See our website privacy policy for more information.
- **From consumer reporting agencies, public records and data collection agencies.** For example, we collect information regarding your obligations with others, your creditworthiness, loss history, and claims data from these sources.
- **From transactions with SURE or other nonaffiliated parties.** For example, we collect information, such as your name, address, availability of funds, insurance coverage, transaction history, claims history and premiums, from these sources.

Purposes and Use of Collected Personal Information

We may use or disclose the personal information, including certain sensitive personal information, we collect for one or more of the following business purposes:

- To fulfill or meet the reason for which the information is provided.
- To provide you with information, products or services that you request from us.
- To maintain or service your accounts and to provide customer service.
- To provide you with email alerts, text message alerts, event registrations and other notices concerning our products or services, or events or news, that may be of interest to you.
- To carry out our obligations and enforce our rights arising from any contracts entered into between you and us.
- Improve, market or promote our products and services to you.
- Compile, synthesize, generate and analyze anonymous usage and other aggregated information.
- To improve user experience by making our website easier to use and navigate.
- To evaluate or conduct a business combination, such as a merger or sale.
- As necessary or appropriate to protect the rights, property or safety of us, our clients, or others.
- To respond to law enforcement requests and as required by applicable law, court order, or governmental regulations.
- As described to you when collecting your personal information.

We will not collect additional categories of personal information from you or use the personal information we collected for materially different, unrelated, or incompatible purposes without providing you advance notice and obtaining your consent.

Sharing Personal Information

We may disclose your personal information, including certain sensitive personal information, to third parties for our business purposes, as described above. As permitted by applicable law, we may share the following categories of personal information with third parties for our business purposes:

- Identifiers and personal information categories (e.g., name, date of birth, mailing address, phone number, email address, Internet Protocol address, Social Security number, insurance policy number, bank account number and other payment information, financial history, marital status).
- Protected classification characteristics (e.g., age, marital status).

- Commercial information (e.g., records of personal property, products or services purchased, obtained, or considered, or other purchasing or consuming histories or tendencies).
- Internet or other electronic network activity information (e.g., browsing history, search history, information on a consumer's interaction with a website, application, or advertisement).
- We may also disclose without restriction aggregated information about our users, and information that does not identify any individual.

We may, as allowed by law, disclose your personal information, including certain sensitive personal information, for a business purpose to the following categories of third parties:

- Third parties that use your personal information to process payments, validate your credit and loss history, and provide other similar services on our behalf. • Other insurance institutions, financial institutions, reinsurers, insurance producers, or consumer reporting agencies as needed in connection with any insurance application, policy or claim involving you.
- Third parties that conduct research, including actuarial or underwriting studies.
- Adjusters, appraisers, auditors, investigators, and attorneys.
- Third parties that may explore certain transactions with SURE, such as certain investments or loan transactions.
- A buyer or other successor in the event of a merger, divestiture, restructuring, reorganization, dissolution, or other sale or transfer of some or all of our assets, whether as a going concern or as part of bankruptcy, receivership, liquidation, or similar proceeding, in which personal information held by us about our Website users is among the assets transferred.
- Third parties who perform business, professional or insurance functions for SURE including service providers, agents or independent contractors.
- To our subsidiaries and affiliated companies.
- We may disclose your personal information to law enforcement, government agencies, and other related third parties, in order to comply with the law, enforce our policies, or protect our or others' rights, property, or safety.
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WE DO NOT SELL ANY PERSONAL INFORMATION OF CURRENT OR FORMER CONSUMERS.

Third-Party Cookies and Links

Some content or applications, including advertisements, on the Website are served by third parties, including advertisers, ad networks and servers, content providers, and application providers. These third parties may use cookies alone or in conjunction with web beacons or other tracking technologies to collect information about you when you use our website. The information they collect may be associated with your personal information or they may collect information, including personal information, about your online activities over time and across different websites and other online services. They may use this information to provide you with interest-based (behavioral) advertising or other targeted content. We do not control these third parties' tracking technologies or how they may be used. If you have any questions about an advertisement or other targeted content, you should contact the responsible provider directly.

Our website contains links to other sites. SURE is not responsible for the privacy practices or content of such other sites. If you have any questions about how these other sites use your information, you should review their policies and contact them directly.

How SURE Responds to Do-Not-Track Signals

Certain state law requires commercial website owners and operators to disclose how their website responds to web browser "do not track" signals. If you have enabled your browser for that purpose, at this time, we do not honor "do not track" requests or change our services or information practices in any way as a result of receiving "do not track" requests from your browser.

Collection and Use of Information from Children

NOTICE TO CHILDREN UNDER THE AGE OF 13 AND THEIR PARENTS OR LEGAL GUARDIANS: SURE DOES NOT KNOWINGLY COLLECT PERSONAL INFORMATION FROM CHILDREN UNDER THE AGE OF 13 AND CHILDREN UNDER THE AGE OF 13 ARE SPECIFICALLY PROHIBITED FROM SUBMITTING ANY PERSONAL INFORMATION ON THE WEBSITES. IF YOU ARE UNDER THE AGE OF 13, DO NOT SEND SURE ANY PERSONAL INFORMATION INCLUDING WITHOUT LIMITATION YOUR EMAIL ADDRESS, NAME AND/OR CONTACT INFORMATION. IF WE LEARN WE HAVE COLLECTED OR RECEIVED PERSONAL INFORMATION FROM A CHILD UNDER 13 WITHOUT VERIFICATION OF PARENTAL CONSENT, WE WILL DELETE THAT INFORMATION. IF YOU BELIEVE WE MIGHT HAVE ANY INFORMATION FROM OR ABOUT A CHILD UNDER 13, PLEASE CONTACT US AT www.sagesure.com/contact-us/.

Your Rights

You have the following rights with respect to your personal information:

- **Right to Know:** You have the right to request that we disclose certain information to you about our collection, use, and disclosure of your personal information over the past twelve (12) months. Once we receive and confirm your request, we will disclose the following to you:
    - The categories of personal information we collected about you.
    - The categories of sources for the personal information we collected about you.
    - Our business or commercial purpose for collecting that personal information.

  - The categories of third parties with whom we share that personal information and the categories of personal information shared with those third parties.
  - The specific pieces of personal information we collected about you.
- **Right to Opt-Out:** You have the right to opt-out of our sharing of your personal information with third parties, subject to certain exceptions for SURE to provide you our products and services as set forth above under Sharing Your Personal Information.
- **Right to Correction:** You have the right to request correction of any inaccurate personal information.
- **Right to Request Deletion:** You have the right to request that we delete your personal information that we have collected about you. We may deny your deletion request if retaining the information is necessary for us to: complete the transaction for which we collected the personal information; provide a good or service that you requested; take actions reasonably anticipated within the context of our ongoing business relationship with you, or otherwise perform our contract with you; detect security incidents, protect against malicious, deceptive, fraudulent, or illegal activity, or prosecute those responsible for such activities; debug products to identify and repair errors that impair existing intended functionality; exercise free speech, ensure the right of another consumer to exercise their free speech rights, or exercise another right provided for by law; engage in public or peer-reviewed scientific, historical, or statistical research in the public interest that adheres to all other applicable ethics and privacy laws, when the information's deletion may likely render impossible or seriously impair the research's achievement, if you previously provided informed consent; enable solely internal uses that are reasonably aligned with consumer expectations based on your relationship with us; comply with a legal obligation; or make other internal and lawful uses of that information that are compatible with the context in which you provided it. We will delete or deidentify personal information not subject to 6 one of these exceptions from our records and will direct our service providers to take similar action.
- **Right to Non-Discrimination:** We will not discriminate against you because you exercise your rights. For example, we will not deny you goods or services or charge you a different price or rate for goods or services if you make an access or deletion request.

Exercising Your Rights

To exercise the rights described above, please submit your request to us by either:

- Calling us at **1-800-481-0661**; or
- Emailing us at policyrecordsrequest@sagesure.com

Only you, or a person legally authorized to act on your behalf, may submit a request related to your personal information. You may also submit a request on behalf of your minor child. You may only make a request for information twice within a 12-month period. We will not charge a fee to respond to your request. Any such inquiry will be responded to within thirty (30) days. We must verify your identity with respect to such inquiries. Depending on the nature of the Personal Information at issue, we may require additional measures or information from you as part of that verification.

You will be asked to provide your name, insured property address, and date of birth when making the request.

Security

SURE maintains reasonable administrative, technical and physical security measures designed to protect the security of your personal information. We have implemented measures designed to secure your personal information from accidental loss and from unauthorized access, use, alteration, and disclosure. All information you provide to us is stored on our secure servers behind firewalls. Unfortunately, the transmission of information via the internet is not completely secure. Although we do our best to protect your personal information, we cannot guarantee the security of your personal information transmitted over the Internet. Any transmission of personal information is at your own risk. We are not responsible for circumvention of any privacy settings or security measures contained on the Website. No security system is impenetrable, and SURE cannot guarantee the security of this website, nor that the information you supply will not be intercepted while being transmitted over the Internet. By using the services or providing personal information to us, you agree that we can communicate with you electronically regarding security, privacy, and administrative issues relating to your use of the services, including providing you any notice or notification related to same as required under state law.

Data Retention

We will retain your personal information for the time period necessary to fulfill the purposes described in our Privacy Policy. Under our record retention policy, we destroy personal information after our need for it ends, which is defined in that policy according to specific retention periods. However, we may have a further need to hold personal information beyond our record retention policy periods due to regulatory requirements or in response to a regulatory audit, investigation, or other legal matter.

For More Information

If you have any questions regarding this Privacy Policy, please visit us at **inquiries@sureriskmanagement.com.**